

Gujarat Mineral Development Corporation Ltd. (GMDCLTD)

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To,

SSE Limited

PJ. Towers, Dalal Street

Mumbai-400001

Script Code:532181

Dear Sir, National Stock Exchange of India Ltd,

Exchange Plaza, Sandra Kurla Complex,

Sandra (East), Mumbai -400051

Script Code: GMDCLTD

Subject: Transcript of Analysts/ Institutional Investors Meet

We had vide our letter dated 18th August, 2022 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 20th August, 2022 at 11.00 AM 1ST through audio Conference Call.

We send herewith a copy of Transcript of the said meet which took place on 20th August, 2022. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gmddtd.com.

You are requested to kindly take note of the same on your record.

Thanking you,

Yours faithfully,

rat Mineral Development Corporation Limited

s

Company Secretary

End: As above

Gujarat Mineral Development Corporation Limited

(A Government of Gujarat Enterprise)

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Gujarat Mineral Development Corporation Limited

Q1 FY'23 Earnings Conference Call

August 20th 2022

Management

1. Shri Roopwant Singh, IAS - Managing Director
2. Shri Kulshrestha -- Chief General Manager & Chief Financial Officer

3. Shri H. K. Joshi, Senior General Manager, Technical
4. Shri Swagat Ray -- General Manager, Project Planning & Development
5. Smt. A.K. Iyer -- General Manager, Accounts
6. Shri Rajat Das -- General Manager, Marketing and Sales
7. Shri J.N. Dave -- General Manager, Power
8. Shri P.R. Shah -- General Manager, Geology
9. Shri Joel Evans -- Company Secretary

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Gujarat Minerals Development Corporation Limited
Q1 FY'23 Earnings Conference Call
August 20, 2022

Moderator: Good morning, ladies and gentlemen. I'm Steven, the moderator for this conference. Welcome to the Conference Call of Gujarat Mineral Development Corporation Limited arranged by Concept Investor Relations to discuss its Results for the First Quarter ended June 30, 2022.

We have with us today, Shri Roopwant Singh, IAS, Managing Director; Shri Kulshrestha -- Chief General Manager & Chief Financial Officer; Shri H. K. Joshi, Senior General Manager, Technical; Shri Swagat Ray -- General Manager, Project Planning & Development; Mrs. A.K. Iyer -- General Manager, Accounts; Shri Rajat Das -- General Manager, Marketing and Sales; Shri J.N. Dave -- General Manager, Power; Shri P.R. Shah -- General Manager, Geology and Shri Joel Evans -- Company Secretary. At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press '*' and '1' on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand the floor to Shri Roopwant Singh -- Chairman and Managing Director. Thank you and over to you, sir.

Roopwant Singh: Good morning, friends. We welcome you all to the first conference of this financial year. The year has started well, for GMDC. The company has been on a correction course for the past three quarters and whatever results are visible now have been due to the concerted effort of the entire team and a very supportive board. I would not like to repeat that as well, they are evident and in front of you. We welcome you all for sparing time and we invite questions and queries from your side. Thank you so much.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from Edelweiss. Please go ahead.

Amit Dixit: I have three quick questions if I may. The first one is on realization. While realization increased QoQ for every mine, but for Mata No Madh for some reason, there was a slight decline. If you can explain that. That is the first question. The second question is essentially on our mining costs. So we have seen that mining costs have gone up maybe because people cost might have gone up or shipping costs might have gone up. If there are some other elements to it and how do we look at it going ahead? And the third question is if you can throw some light on the BCG draft report that was supposed to be tabled around this time?

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Roopwant Singh: We start with Mata No Madh. Mata No Madh project is currently the backbone of the organization and is the largest contributor to the kitty of lignite that is available for supply to the energy sector and for market sales. This year in this quarter, we have supplied a large amount to ATPS and KLTPS. The reason is ATPS was not doing well in the previous quarter compared to this Q1 of last year to this one. The performance there has improved, and an essential requirement is regular sustained supply of fuel. And second is the KLTPS plant which belongs to the state power utility, that was under a major repair and overhaul in the last financial year. That has also come into operation this year. So, the supplies to both these plants have increased. The pricing for the fuel there is regulated by a government formula, which is very conservative. And though there is action underway to update that formula, so that GMDC is able to get adequate realization or reimbursement for the efforts put in, but the realization from Mata No Madh being low is principally on account of more supply to the power sector. As far as the mining cost is concerned, Amit, you are well aware, there has been a huge upward correction in the fuel prices. The fixed cost component for our

lignite

production is in the range of 9% only. The rest of it comes from the variable components, that is work and diesel. Out of this, diesel accounts for more than 50% of the cost. We are bulk consumers. So, there has been a huge correction in the range of Rs.80 rupees to in excess of

Rs.120 for bulk supply. So, that has had an impact on the mining cost, the way you see the cost has gone up significantly. BCG report, yes, their engagement with us is divided into three phases. Phase -I was identifying opportunities, and the subsequent phases are moving towards those opportunities. So, phase -I has completed. And we have a report of actionable points. They can broadly be divided into improvement of processes and new initiatives at our level. But the larger initiatives would require more deep diving and we would be coming to you with those larger initiatives in the subsequent interactions with the investor community. But at the moment you would see us acting on three, four fronts. There would be an effort towards greater digitization and automation of operations in the mining operations that we do. There's going to be a thrust on that. Our customer outreach and the entire customer experience we seek to upgrade by regular interactions taking feedbacks. There is also a lot of discussion on reclassifying the customer base, which is very crudely classified into small and large and there is an anguish from the smaller players that they do not get the benefits or they're treated at par with much larger players. So you would be seeing action on these immediately. The larger things would require deeper studies and those studies and those actions have been initiated. We shall be coming to you with those initiatives. We've had spoken about those initiatives in our earlier calls and discussions and we shall be updating you. Thank you, Amit.

Moderator: The next question is from the line of Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.

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Vaibhav Badjatya : So, I just have two questions. One is on the pricing and other is on the volume. On the pricing front, we have seen significant slowdown in our price hike. So, just in that context, I want to know that what is still the differential that you see, I don't want exact number, but broad differential that you see between imported coal and lignite based on Surat delivery, you can just broadly highlight what's the difference? Is a slowdown in price revision driven by more Russian coal coming into Gujarat or there is some rethought from the new management that probably we should slow down due to inflation concern on the pricing front, that's the question on pricing? And second question is on the volume front. So, we have seen Morbi area announcing significant one month shutdown. So, is it likely to kind of change our volume outlook, which we have kind of targeted for 10 million tons, is there any risk to the volumes or do you expect that after Q2, probably from Q3 onwards, there will be sharp recovery. So, just wanted your views on these.

Roopwant Singh: On the pricing, as we have discussed earlier, the pricing strategy, which was changed last year, made the entire marketing and sales division responsive to its main competitor, that is imported coal. We had a target number that we were able to achieve and we were holding on to a differential. And as you would have seen in March, appropriately comparable imported coal price for 4200 GCV stabilized. So, we broadly stabilize near that level with a significant differential. And last month, there was slight uptick, and so, we made some minor corrections, and now, there is that price of imported coal has further eased. So, we are sensitive to these needs. And as I have stated earlier, we are committed to our MSME sector. We shall be supplying them at a lower differential cost, but we will at the same time not miss out on an opportunity.

We are fully sensitive, the management is supportive and the board is very supportive of these efforts. And the volume is quarter one we held out good numbers, 2.5 million tons, although this quarter monsoons have been extremely good, which does not usually turn out to be very good for lignite mining. There has been very good rain in all geographical regions in a very small period of time. So there was a strain on supply, the stocks got exhausted and allocations went down. Morbi also took a month off. That was more on account of the supercharged imported coal prices rather than us. As far as the volume ramp up is concerned, we are committed to that. And you would have seen RFPs for significantly expanding the capacity of Bhavnagar project, which are live right now.

Vaibhav Badjatya : But just a follow up on the volume. Because there's a lot of problem on the gas availability as well in the pricing of it as well. So are you seeing significant shift from there in terms of kCal cost for the gas and coal, are you seeing that it is becoming more viable for the customer to probably shift to coal by doing some CAPEX?

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Roopwant Singh: This shift in the industry keeps on taking every few years. Something has their opportunities. And from what I have gathered, many of the larger plants have equipment to take care of

both needs, but they shift occasionally, like, for example, the Surat cluster a decade or ago, and now shifted to gas and then shifted back to solid fuel. So, this is a call which they take because the margins they seek to maintain them. So at the moment, the shift is in favor of solid fuels. And now with solid fuel prices, imported fuel prices going up, they're still sustained. This is what our feedback is.

Moderator: Next question is from Parthiv Jhonsa from NVS Brokerage. Please go ahead.

Parthiv Jhonsa : Sir, I have just a very couple of broad-based questions. Sir, in Q1 your revenue was almost more than doubled with excellent PAT. So, just want to know with the target of this 10 million tonne Russia, what is your perception of how the other remaining three quarters will be? So, what is your overall view when you are saying that you will foray into that rare earth elements mining and everything? And with this new couple of mines on the block, what will be the total overall opportunity for the company?

Roopwant Singh: Very briefly, we are chasing 10 million tonne. Second quarter is going to be slightly late because of excessive rains. In the last two quarters, we will have to do a lot of catching up. To achieve that, I mentioned Bhavnagar tender. These are two very large RFPs which have been floated. We will take care of entire northern Gujarat, central Gujarat and southern Gujarat once these become operational. New mines, yes, you should see operationalization of these mines within the next two financial years. You would be seeing RFPs for MDOs or turnkey contracts very, very soon.

Parthiv Jhonsa : Sir, my last question is with this new goal is again firming up, how do you perceive our prices, lignite are going to firm up or are they already in good space or just the movement of the pricing of the metal?

Roopwant Singh: I didn't understand the question.

Parthiv Jhonsa : No, no. So I just wanted to understand are the prices firming up now, for the material for lignite or the energy range bound or what is the current scenario?

Roopwant Singh: So, like I said in the earlier question, in March, the price is for imported coal our competitor had stabilized. We need a certain differential and we maintained it. There was a slight spurt.

We caught it. Now, those prices are easing. And we are sensitive.

Moderator: Next question is from the line of Rabindranath Nayak from Sunidhi Securities. Please go ahead.

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Rabindranath Nayak : Sir, I have a few questions regarding the plans for

monetizing the bauxite and the lignite for

core products. Any volume and value proposition for these impact on top line and bottom line for this year and next year, if you can guide something? And regarding this RE reserve, you have already good results is my understanding. The reserve is pertaining to lithium or cerium or what is the timeline if possible for top line or the bottom line on this? And regarding this, we have already appointed the strategic consultants for six months already. So, what is the key projections you have, any broad suggestions they have said, we can wait for some suggestion from that could be helpful for our understanding?

Roopwant Singh: Let me answer it in the reverse order this time. BCG has been onboarded. Phase -I is over.

Their recommendations for our organization can broadly be classified into three categories:

One is improvement and the second is diversification and strategic play. The improvements are on processes, marketing, sales and internal governance mechanisms, that activity has already kicked into action. And we would see hopefully the results in the coming quarters, because they are an evolving thing, some of these actions take a lot of time, but the activity has started. The second larger one, why they were here is for diversifying the company, taking it beyond lignite and making the company future-proof from its reliance on a single fuel. There have been very good suggestions and they have advised on the wide array of opportunities that this company sits on, namely, the reserves of limestone, silica sand and multi-metal assets, etc., So those are things on which we have made our preliminary analysis and in the coming months, a lot of study and further research has begun on each of these. We shall be updating you on each of these initiatives, because they are large initiatives subsequently. This would not be the right time for us to say on each of them. As far as the RE initiative is concerned, yes, a study is underway. We had hoped it would be over and we would be able to give you answers, but it would still take some time. But what I can say is the initial prognosis seems encouraging. We have as a key to the study that is underway. We are planning to further take up exploration in our Kadipani reserve also for these metals. You should see an RFP for that in some time. Bauxite, yes, it was languishing. We were sitting on unsold assets. Recent initiatives include open auction-based sales. Number two, benefiting the quality so that we are able to find willing takers. Three, improving the relation and handling of our joint venture partner so that off take goes up to maximum capacity. And similar initiatives are underway for smaller, but again, important manganese asset also. Bauxite, this year, hopefully should end well and so for manganese also.

Rabindranath Nayak : Regarding this RE, again on this topic, so, is there any chance that central government will take part in the business or takeover business in future or is there any chance for the company to divest holding RE business to central government or how we should look at it in future? And what kind of reserves, cerium reserves or if you can give some name of the reserves what we are having in RE, that would be helpful, sir?

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Roopwant Singh: I understood the second part of the question. What is the first part of the question?

Rabindranath Nayak : First part is the company which is there in the central government space, whether that company can participate or in future if RE business will become big and the central government will take that business from you, or take part in some stake in the RE business, so, if you can guide some thing on that?

Roopwant Singh: Well, I can't guide you on something which has not happened and which may happen if it's required. It is a sector which is closely controlled by Government of India and Department

of

Atomic Energy. Whatever initiative that we take would be in consultation and directions from them. And as far as what kind of reserves are there? We have a good concentration of light rare earths. The metals and everything, we shall be sharing subsequently.

Rabindranath Nayak : So magnetic rare earths, we don't have in reserves, is that correct?

Roopwant Singh: Please note, we have light rare earths.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar : I just wanted to understand more on your EBITDA per ton. I mean, quite fantastic EBITDA per ton close to about Rs.1,800 to Rs.1,900 per ton this quarter. So can you indicate the sustainability, how sustainable is that?

Roopwant Singh: Deepak, I will repeat again. We were working towards a stable differential from the imported coal. We arrived at it. At the moment, the prices seem to be easing up. So, we are watchful and what our internal analysis and market analysis says that in the proximate future, we see imported coal holding some price and we hope to sustain that differential.

Deepak Poddar : So if that differential is sustained, ideally our EBITDA per ton is also likely to sustain, right?

Roopwant Singh: Yes, this is 91% of our lignite revenues.

Moderator: Next question is from the line of Rishabh Shah from RS Capital. Please go ahead.

Rishabh Shah : I just want to understand the thought process. Understanding even the government company and going forward there might be sudden changes for the top management level. So, what is the thought process behind ensuring the company outlooks people with the current momentum continues for a longer period? Second thing, I believe in the last call, you mentioned that the total market for you is around 25 to 28 million tonnes. So, is this primarily the major market is from imported coal only? My third question is, is there a possibility or an opportunity to cater to a market outside Gujarat also? And my last question is, I believe we

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have some investments in some certain listed companies. So now, what is the plan of that, are you going to monetize or that is going to be there for eternity?

Roopwant Singh: I will answer your first question as I would have no answer to it and it would not be fair for me to speak on it. The Gujarat demand for solid fuel stands at around approximately 26 million tonnes. We have currently limited ourselves to Gujarat because the demand is significantly large and we are a Gujarat-based company. But in the coming three to four years, you should see our production going up to 14 million tonnes to 15 million tonnes. (inaudible) (technical difficulty). As far as our investment in listed companies is concerned, at the moment we are holding, but they are part of a strategic transformation plan that we are doing in partnership with BCG. So, based on our capital requirements and the timing, we shall be taking a call on them. That is a very relevant point and we are mindful of these investments. As far as management is concerned, I would not be the right person to comment. But it is a very fantastic board; it is very supportive and very forward-looking. That is all I can say.

Moderator: Next question is from line of Hemant, an investor. Please go ahead.

Hemant : We have seen extremely good results in Q1. So apart from Q2, do we see the momentum continuing in this financial year? What kind of annual revenue you are targeting for FY'23 as well as margins?

Roopwant Singh: So I'll probably repeat myself what we said. Q2 because of these heavy rains and spread out all over the state of Gujarat, please expect a slight moderation, because the quantity available has gone down. We shall be doing a lot of catching up in Q3 and Q4 and hopefully we are able to ramp up our capacity. So we are hopeful of good numbers this year. I can't share anything specific

fic regarding numbers, but we should expect good numbers by the end of this year.

Hemant: Sir, even if you can't give a specific number, any broad range?

Roopwant Singh: I'm not at liberty. Please look at our pricing, please look at our volume.

Hemant: Will it be better than FY'22?

Roopwant Singh: We are hoping for better.

Hemant: Any range, 10%, 15%, 20% can we expect?

Roopwant Singh: Hemant, please do the numbers. Our quantity as we have shared, our goals and pricing we have shared. Just do few calculations.

Hemant: What will be the EBITDA per ton we can expect for the entire fiscal year?

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Roopwant Singh: I think it will be better than last year provided the price differential holds.

Moderator: The next question is from the line of Keshav Garg from CCIPL. Please go ahead.

Keshav Garg : Firstly, I would like to thank you on behalf of all shareholders for the excellent performance and all your efforts for the transformation of this company and you are saving the country a great deal of foreign exchange; thank you very much for that. Wanted to understand that are we thinking of putting up any lignite washery, does it make sense? And sir, secondly, I wanted to understand that we have a huge amount of cash reserves that we have lent to the state government at I think 5.25% which is below the rate of inflation. So, it would be far better if we could do a share buyback and return the money to the state government instead of just the real value of our cash reserves falling?

Roopwant Singh: Lignite washery is merely a washery name. It is dry beneficiation of lignite to two ends. One, remove pyrite from our Mata No Madh resources and remove ash from our Mata No Madh resources. This is a step which is vital towards our movement and a commitment towards meeting our ESG goals. Yes, we are yet to formulate a full strategy, but these are our first steps in that direction. Improved quality of lignite from Mata No Madh will significantly decrease the pollution and hugely improve the efficiency of our thermal power plant and also of the state utilities thermal power plant. Second, there is no money given to government. It is lent at an interest rate which is better than whatever was prevailing at that point of time with GSFC. It is a non-banking finance company, but it is owned by the government of Gujarat. So, it is not parked with government. It is merely an instrumentality. And as far as the cash reserves are concerned, we don't have any plans of buyback because we are in expansive and aggressive mode. We are going to open six new lignite projects and develop further lines of business, which we are doing in consultation with BCG, and we shall be updating you on each of these initiatives subsequently. So there is no plan for buyback. We are on an expansion journey.

Keshav Garg : Also, wanted to understand that our power division is now making profits. So basically will it sustain going forward?

Roopwant Singh: Sorry, correction, it's not making profit, the losses are down. Last quarter, it was neck-and-neck, there was no loss, this year, the loss compared to last year has come down. We had hired AT Kearney to critically look at this asset. The issue has gone to the board and board has responded positively. Hopefully, if these corrections come through, we should be making some money from this division also.

Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.

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Bajrang Bafna : So, my first question pertains to the improvement that we are expecting on the power side apart from thermal power, I believe that there are some movement which is also happening towards renewable side. So if you could update us on that, will be really helpful? And my second question pertains to the movement towards rare earth side. I think we believe that Mackenzie has been roped in for that

king this to the next level and there were some articles

which have been publicized where we are looking for some strategic partner also to go into that direction. So, if you could update us what is the movement on that side, and when can we see some sort of announcement or some development, which could take us to the next level? I think it is a long journey for us, but, we are also looking for hiring some professional person who have an understanding of these minerals, which was also publicized. So, if you could update on that side will be really appreciated?

Roopwant Singh: As far as the thermal power asset is concerned, I think I spoke about that just now. So, I will not speak on that. As far as the non-conventional energy is concerned, we are making efforts to develop our in-house system to strengthen our governance of these assets. Capital in the range of Rs.1,200 crores to Rs.1,300 crores over a period of a decade was invested in these non-conventional assets. And we have not developed the kind of in-house capabilities that are needed to monitor these assets so that they are able to deliver well. So, we are currently

in that exercise. You'd have seen advertisements for recruitments of experts on these fronts. Hopefully, we'll be able to squeeze out more juice from these assets, because it is more of a governance and less of a technical issue. So, please expect improvements on these fronts in the coming months. As far as the rare earth journey is concerned, yes, McKinsey has been onboarded. Yes, their study is underway. Hopefully, it is in the right direction, but it will still take some time. We have not floated any advertisement for onboarding a partner. But yes, we are going to hire professionals who will be able to analyze the ore and other aspects better so that we develop in-house capabilities moving towards in this direction. You should see some advertisements for further studies and further exploration of these assets by GMDC in the coming weeks. And we shall be coming forward with more clarity as this is an emerging area and our studies get concluded.

Bajrang Bafna : Just one quick question on that side. Recently, we've heard the government that they will allow some private miners to enter into lithium mining in our country as well, and very recently and then NMDC has announced that they will start exploiting these minerals in Karnataka and maybe outside India also. So, any ballpark assessment that we are also getting some note from the government that to explore this opportunity as well in our country?

Roopwant Singh: Government of Gujarat, this year has made a provision to set up a special lab dedicated towards the RE exploration analysis and to set up a core library for the same. The government is very well aware and they are moving in that direction. I can speak for our government. The initiative of Government of India to broaden the number of players in

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this sector is a welcome step, because this is a pioneering field. More mines, more technology will lead to better results and a better strategic position for our nation in the global space.

Moderator: The next question is from the line of Vaibhav Badjatya from Honest and Integrity Investment. Please go ahead.

Vaibhav Badjatya : Thanks for the follow up. So, all of us understand second quarters, because historically as well there has been seasonality during rainy season of our performance, so it's quite expected. But on second half, on the pricing front, because there will be winter in Europe and they are also trying to restart their coal plants, how do you see the outlook for the pricing differential, because there can be quite severe situation internationally in the second half, so I just wanted your views on that? And secondly, this specific grade of 4,200 kCal is what you're talking about. So if I compare that with some of the other grades, there is a difference in

movement. So most of the other grades have moved up or at least have remained same. So what is driving that difference in movement? And do you expect that grade also to catch up with other grades, if you can throw highlights on these two parts that would be helpful?

Roopwant Singh: Well, international geopolitics is much, much beyond our scope to answer. And what I can say is, like I said earlier, I repeat, I can speak about our customers. During the past three quarters, the number of customers have gone up. We have a better relationship with them. I think they're better satisfied. To fine tune it, we have started customer feedback surveys and we are getting ourselves, the company assessed on seven to eight parameters and we are going to address each of these parameters. Amongst these there will be a question that what is their fuel preference within solid fuels, pure solid fuels, many of these larger players I believe has the capacity to accommodate gas and solid fuel both. And they frequently shift to whichever is a better opportunity. At the moment, I don't see gas emerging there. So, there should be decent demand for our product within our state, provided we keep it at the right differential. As far as the grade wise prices are concerned, yes, I mentioned Rs.4,200. But we track others also. And we usually look at the prices which are closer to ours in GCV and which are available in the market, because certain prices are advertised, but that grade is not available. And the differential that we talk of, is not full price per se, it is landed cost. So, we are mindful of what our customer incurs in transporting it to its place and we are also looking at it in terms of per GCV cost as to how much does it actually cost him in terms of energy cost. So, that is how we look at these numbers. At the moment 4200 grade is available. The larger rate they are available with a slightly longer waiting period. So that is why we have benchmarked it with this one.

Moderator: Next question is from the line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.

Satyan Wadhwa : You have been taking price hikes periodically and very pleased to see that. Can you just shed some light on what the current realization is versus what it was in Q 1? Has the cost gone up

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in terms of MDU and any other sort of non-employee type costs for mining directly because diesel prices have been on a tear, but now moderating, so, just wanted to get a handle on what the cost structure is looking like during last quarter?

Roopwant Singh: Fixed cost has in fact gone down; it was around 10 % last year, it has gone down to 9% this year. Variable cost, yes, it has increased because of this wild rise in diesel prices, which is

almost slightly more than 50% of our variable cost. What was the first question?

Satyan Wadhwa : The first question was that you've been taking price hikes pretty regularly. So just trying to get a sense of what is the average realization looking like now versus June quarter, because price hikes have been coming through, so just trying to get a sense of, if you don't take any more hikes starting today, what will like the second quarter pricing be or realization be versus the first quarter?

Roopwant Singh: Our weighted average price for last year was close to Rs. 3,000 and this year it is in excess of Rs.4,000. So even its imported coal prices, we are taking a decision of slightly downward correction, I think we are sitting on comfortable margins.

Satyan Wadhwa : Versus first quarter, pricing realization in second quarter should be higher, right?

Roopwant Singh: Yes, but volume s would be tighter.

Satyan Wadhwa : That volumes will be lower. So I'm not trying to ask you about EBITDA guidance. I'm just asking about realization only?

Roopwant Singh: Per ton realization should be better.

Satyan Wadhwa : Newcastle coal is I think 5,500 to 6,000 kCal. And

your average kCal is what about 3,000 plus or minus a bit?

Roopwant Singh: You can put it around between 3,200 and 3,400.

Satyan Wadhwa : Given that you have high moisture content and a buyer typically is only buying as he needs to buy roughly 2 tons roughly or 1.8 tons instead of 1 ton of imported coal, what discount to imported coal? would a buyer be happy buying lignite at 50%, 60%, I'm just trying to get a sense?

Roopwant Singh: That is a question which there is no definite answer because it's a different product and our product varies from project -to-project. So the product from our Rajpardi mine is almost at par with imported coal, but yes, it's classified as lignite. But yes, our product from Bhavnagar project has a very good calorific value, 3,600 - 3,800, but it has pyrites. So, it is a very amorphous set of products that we have. So I can't give a very specific answer to it. That is why we price our lignite product from different products differentially. And as an end

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consumer, from what we have been able to learn from our customers is, they have a requirement for both, because the imported coal is broadly powdered and not in a lumpy form and ours is in a lumpy form. So, what ideally suits their boilers is a mix of both. So this is what we have been able to learn and that is why there's this sustained demand for our product also. But yes, it is a reality. This is lignite, this is not coal, this is not very high calorific intensity coal. So we have to keep it at a differential price. But there is no one answer. Yes, the differential in Rajpardi would be less, yes, the differential in Bhavnagar would be more.

Satyan Wadhwa : Current price s for imported coal is between \$350 - \$400. So your coal price is \$50 right now. If I just convert, say 4,000 at Rs. 80, you're almost at 12.5% of imported coal. So on a kCal basis, you are very, very cheap. That's why I ask that question, what is the what is the warrant ed discount, 55%, 60%. 65%, 85% is probably not the best discount,

Roopwant Singh: Please add one more thing to your calculation - the landed cost. That will make the entire picture clearer for you. Our product is produced in western ghats, which is more than 400 kilometers away from Surat, one of the consumption centers, it is produced in Bhavnagar, which is 250 - 300 kilometers away from Surat , but only 100 kilometers from Morbi. So, what we calculate is which mine caters to which area and what is its landed cost and what is the landed cost for imported coal also, because it broadly comes at two to three ports and we have an idea of which trader or big trader sells it where, so what is their freight cost. So if you look at these figures, then the differential is slightly less. But your analysis is right, but there is one gap.

Satyan Wadhwa : But I guess just if you're taking imported coal, freight plus port charges plus inland freight, that will still amount to maybe more than the amount of freight you have to pay even if you have to ship two times instead of one, is that correct or wrong?

Roopwant Singh: It's the opposite actually, Their landed cost is slightly lesser than us, because it has to travel large distances except for the one which is produced in Rajpardi and Tadkeshwar and goes to Surat. For the rest of it, there is a significant transportation cost.

Satyan Wadhwa : Your transportation cost will be in the tune of Rs.1,200 to Rs.1,500 if it's going by truck, is that a fair assessment?

Roopwant Singh: Mr. Das, could you comment on the these prices; transportation cost per ton?

Roopwant Singh: I'll give you an idea of fuel cost and you take a call on it. If you transport it from the South Gujarat mines to Surat, so you're looking at amount which ranges from Rs.500 to Rs.700, and if you transport it from Bhavnagar to Surat, you're looking at least add Rs.1,000 there and if you're transporting it from Kutch, pleas

e add Rs.3,000 to the original one.

Moderator: The next question is from the line of Rabindranath Nayak from Sunidhi Securities. Please go ahead.

Rabindranath Nayak : Can you please guide us what is the contribution of revenue this year and next year beyond lignite and power or includes the renewable power?

Roopwant Singh: So, revenue at the moment 91% is coming from lignite and the rest breaks up Mr.

Kulshrestha, would you like to say something?

L. Kulshrestha: Maximum revenue comes from lignite 91%, from power is around 7%, and remaining 2% is from other minerals.

Rabindranath Nayak : What is your target for this year and next year?

L. Kulshrestha: We are expecting revenue from lignite, that would be around 90% and then 3% from bauxite and 6% - 7% from power, remaining from other minor minerals.

Rabindranath Nayak : Next year, any idea sir?

Kulshrestha : I'm talking about FY'22-23.

Rabindranath Nayak : FY'24?

Roopwant Singh: Next year sales will improve as our new projects come. We shall be sharing those details as our tenders and strategy formalizes.

Rabindranath Nayak : Our gas position is almost 50% of reserves and we have hired a consultant for improving a business further. So it is going to get better in coming few years. So in this context, one question is, is it unfair for a shareholder to expect a bonus issue kind of thing or it is absolutely say something on this?

Roopwant Singh: I wouldn't be able to say something on it and we have a very generous board, let us see what they say.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar : Just wanted to understand why our tax rate was on the higher side last year, and how do we see that going forward?

Roopwant Singh: We made a correction in that and we moved ourselves to a lower slab and I would request our general manager, accounts to please comment on that.

Anupama Iyer: This is Anupama. Last year, we have moved from old regime to new regime. But due to change from old regime to new regime, we have made some adjustment in our deferred tax which we will carry. So last year effective tax rate was higher, but this year onwards, it will be as per new regime and will be in the range of 25% -26% only.

Moderator: The next question is from the line of Keshav Garg from CCIPL. Please go ahead.

Keshav Garg : Just wanted to understand that you have around half a dozen of associates and joint ventures. So is there any activity in these or are they dormant? When can we expect revenues to start from these joint venture and associates and also from bauxite and basically non-power, non -lignite streams that we are looking at?

Roopwant Singh: Very direct reply. Only two of these joint ventures are operational. One is for bauxite and one is for manganese. You should see an improvement in the offtake that they're going to take in the current year. Bauxite is going to benefit the quality so that they readily are able to absorb it and use it. Manganese, we are also working on looking at multifarious aspects to improve the returns that are there, not a lot, but still. Some of them are non-starters and many of them are in the closure phase. So request only to focus on these two; But if our studies and work on advice of BCG and McKinsey come through, you should look at larger joint ventures more robust with a better governance structure in the coming years.

Keshav Garg : Also, when can revenue start coming in from bauxite and manganese?

Roopwant Singh: You should see an improvement this year.

Moderator: The next question is from the line of Keval Kumar, an individual investor. Please go ahead.

Keval Kumar : Are there any plans for diversification in metal sector for mining or manufacturing? And my second question is company is having a huge stock of bauxite at the end of last

financial year.

Whether the company has taken any steps for liquidation of bauxite stock, and whether the company is profitable in bauxite mining or not?

Roopwant Singh: I will start with bauxite. We're sitting on stock of bauxite in excess of 1 million tonnes which is eight to nine years old. There has been significant degradation in the stock. We made open auction for part of it. Option was partly successful; some of it has found takers. At the same time, this old stock is going to be beneficiated and RFP for some trials in a few days. Once it has been beneficiated, brought up to the level of what customers want, you should see offtake there. We are not very aggressive on mining bauxite, but we are aggressive on offtake and

beneficiation of our existing stock which is huge and which is locked capital for us. And your first question was on diversification in metals. Yes, what is going on, as you're aware on manganese and bauxite also and rare earth that we spoke off. But we will be able to speak about them conclusively and with more confidence in the coming quarters.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments. Over to you, sir.

Roopwant Singh: I thank all the gentlemen who participated with these insightful questions, because it helps us look at ourselves more critically, and helps us perform better, and the management learns from these interactions and is able to rise to new levels. I have a few names in front of me who we spoke to. I thank them, I thank Amit ji, thanks, Ra bindra ji, Vaibhav, Bajrang, Rishabh, Hemant, Keshav, Satya n and Keval Kumar ji. Thank you so much and I thank the moderator for organizing this conference. Regards.

Moderator: Thank you members of the management. Ladies and gentlemen, if you need any further information or clarification, please e-mail at gaurav.g@conceptpr.com. This concludes your conference call for today. You may now disconnect your lines.

Call: Oct 2022

Gujarat Mineral Development Corporation Limited
(A Government of Gujarat Enterprise)
CIN : L14100GJ1963SGC001206
"Khanij Bhavan", 132 Ft. Ring Road, Near University Ground, Vastrapur, Ahmedabad 52
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e-mail: cosec@gmdcltd.com ,website: www.gmdcltd.com

No. GMDCL/CS/ BSE/NSE/ 695/2022 Dt. 21.10.2022

To,

BSE Limited
P.J. Towers, Dalal Street
Mumbai -400001
Script Code: 532181 National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai -400051
Script Code: GMDCLTD

Dear Sir,

Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call

We had vide our letter dated 18th October , 2022 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 19th October , 2022 at 3.30 PM IST through audio Conference Call.

We send herewith a copy of Transcript of the said conference call which took place on 19th October , 2022. The said transcript , along with the audio file link, is also uploaded on the Company's website i.e. www.gmdcltd.com .

You are requested to kindly take note of the same on your record.

Thanking you,

Yours faithfully,
For Gujarat Mineral Development Corporation Limited

Joel Evans
Company Secretary

Encl : As above

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Gujarat Mineral Development Corporation Limited
Q2 & H1FY23 Earnings Conference Call
Oct 19th, 2022

Management:

1. Shri Roopwant Singh, IAS, Managing Director
2. Shri L. Kulshrestha -- Chief General Manager & Chief Financial Officer
3. Shri H. K. Joshi, Senior General Manager, Technical

4. Shri Swagat Ray -- General Manager, Project Planning & Development
5. Smt A.K. Iyer -- General Manager, Accounts
6. Shri Rajat Das -- General Manager, Marketing and Sales
7. Shri J.N. Dave -- General Manager, Power
8. Shri P.R. Shah -- General Manager, Geology and
9. Shri Joel Evans -- Company Secretary

Page 2 of 24

Gujarat Mineral Development Corporation Limited
Q2 & H1FY23 Earnings Conference Call
Oct 19th, 2022

Moderator: Good afternoon, ladies and gentlemen. I am Michelle, the moderator of today's call. Welcome to the conference call of Gujarat Mineral Development Corporation Limited, arranged by concept investor Relations to discuss its second quarter and half year ended September 30th, 2022. We have with us today, Shri Roopwant Singh, IAS, Managing Director; Shri L. Kulshrestha -- Chief General Manager & Chief Financial Officer; Shri H. K. Joshi, Senior General Manager, Technical; Shri Swagat Ray -- General Manager, Project Planning & Development; Shrimati A.K. Iyer -- General Manager, Accounts; Shri Rajat Das -- General Manager, Marketing and Sales; Shri J.N. Dave -- General Manager, Power; Shri P.R. Shah -- General Manager, Geology and Shri Joel Evans -- Company Secretary. At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press '*' and '1' on your telephone keypad. Please note that this conference is being recorded. I would now like to hand the floor to Shri Roopwant Singh -- Managing Director. Thank you and over to you, sir.

Roopwant Singh : Thank you so much. We welcome all the participants whom we would be interacting with, we thank you for the interest in the second quarter earnings and the results shared so far. May I request to the moderator we may begin or do we need a round of introductions from all those who are in the room?

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Moderator: Sir as you say if you want, we can begin with the Q and A session.

Roopwant Singh: Let us begin please.

Moderator: OK Sir, thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have three questions if I may. The first one is, is with respect to the production stroke sales guidance now given that Q2 was a little bit subdued quarter because of heavy rainfall. Would you be interested in revising your guidance downward for the year? So, that was the first question. The second question is essentially on the other expenses part. So, since now the prices of growth and derivatives are moderating, so do we expect that this cost on per term basis has peaked out? Number 3 on the rare Earth opportunity, if you could shed some light on where we are. I mean, regarding these, we floated RFP. So what is the progress on that? That's it.

Roopwant Singh: Amit, could you repeat the second question, please?

Amit Dixit: So the second question was on other expenses essentially. So given that now prices are crude and derivatives are coming down and our other expenses are dependent on these prices. So, do you see that the other expenses person has peaked out, I mean this is the protocol that we even.

Roopwant Singh: Thank you. Well, Amit, thank you for the interest. I would not like to repeat what we have already said and what is already known regarding the muted second quarter because of the monsoon. Yes, it has added an effect on an ambitious plans to touch 10 million tons this year.

There would be a downward revision, but you should expect something in excess of 9 million tonnes, very comfortably. Number two as far as the other expenses are concerned, the fixed expenses do remain the same, but there is a positive correction in the variable expenses because of the easing of the crude prices and that has had a

beneficial effect. Production continues to remain high. Prices continue to remain stable. So that works in our advantage and to the advantage of customers and our contractors also. As far as the REE opportunity is concerned. We had engaged M/s Mackenzie to prepare a strategic road map for taking this opportunity and that strategic road map is ready. It is an internal document I would not be able to share so much, but whatever the finding, the prognosis, the strategy, everything is very heartening and very positive. At the same time, the modality needs to be fine-tuned and approved by government, and we still need to secure the asset in the name of the SPV which we seek to further it with, and at the same time, the third development there is we are working on a scoping study, which is essentially a technical examination and evaluation of how this asset would be able to capture most value for us. We would have seen that RFP out in the open. It is on our website. The idea is to get one of the best international firms who does this kind of a scoping study. So, that is in the final stages of being awarded, but we would be able to conclusively say something on this once we are able to get a strategy through from the government, hopefully in this financial year.

Moderator: Thank you. The next question is from the line of Venkatesh Subramanian from Logic Tree investment. Please go ahead.

Venkatesh Subramanian: Thank you for the, nice performance actually despite a subdued quarter. And what is happening is to hear that you actually have a road map in place and we're on course. So two questions, Sir. Or actually the moderator says one question, so I'll ask one. It's a big picture question, Sir, which is if GMDC is to perform at the same level where we are doing currently. With all things being in the same place, what kind of road map or what kind of vision do we have over a three to five year period? And if this rare earth opportunity materializes and the lignite production also goes up according to the plans. What kind of scenario are we expecting? Basically, what kind of alpha are we generating from the current situations? Broad numbers, I'm not going to hold you to this, but just to understand what the management thinking is in terms of the next three to five years

Roopwant Singh: Let me answer your question. Come up by putting the REE opportunity at the back. Please judge us on what we are currently best at and our ambitious plans regarding that which is lignite, please also. (Inaudible) Other opportunities in the mineral space beyond lignite, and I'm not talking of REE, will enable us to take a better view on this and to evolve a strategy. The management has embarked on a special project. The project name is Project Shikhar. It's an internal strategic transformation initiative. For the organization under this project, we have engaged methods Boston Consulting Group. The idea is to help us optimize our current lignite operations through processes cut costs. And improve the customer experience. At the same time, plan to significantly expand our lignite production capacity in the coming three to five years. We plan to do groundbreaking in six mines in the coming two years and in the three to five years, we expect them to reach a sustainable rate of production, probably not the peak rate,

but at sustainable rate of production and at the same time. There are a lot of missed or dormant opportunities which were there in the company. We have assets in manganese, we have assets in copper. We have an underperform

ing bauxite asset, we have huge reserves of limestone and silica and all these opportunities. We want them to reach the logical conclusion and if you watch us in the coming three quarters you would see a lot of RFP on awarding new work to contractors for different minerals and you would also see a lot of activity where the company is looking at the right kind of partners to help capture value in these minerals. Our resources that are at hand for some minerals are modest and for some minerals they are immense. So, that is our vision in five to seven years from now, we would be significantly larger lignite player and we would have a bouquet of other minerals also which will be contributing significantly to our top line and bottom line, bottom line probably will take slightly more, because a lot of capex will have to be pumped in these three to five years. In seven years, the ambition is to ensure that besides lignite, we get at least 40% to 50% of our revenues from other opportunities. So, have I answered your question Venkatesh.

Venkatesh Subramanian: Yes, Sir. I did. In fact, I was looking forward to a quantification in terms of numbers, but I will skip that for a later point, but one supplementary question is that as GMDC, I know that there's a lot of potential under the Earth as an organization. So considering that you have taken up the mantle as an organization, do you think you have the human potential and the culture within the organization to take it to the next level?

Roopwant Singh: Yes Sir, you have touched a very sensitive point and most of my colleagues who are sitting here, very senior general manager, all of them have a smile on their face. This will be a challenge as we expand to

newer minerals where we do not have expertise. So that is our challenge. In this coming quarter. We are going to develop this opportunity and look at partners. In the coming two years we will build internal capacity so that we are able to handle these assets. So this is the plan, people don't grow on trees. People have to be recruited and nurtured. And partners, yes, relatively, they grow on trees. We have to find the right partner, so one thing we will do early on and the second thing is an initiative which we should be kicking in in the next financial year, we are focusing on growth. At the moment. And the next financial year, we're going to focus on our core that is our people who we are. I think there are more smiles in the room.

Venkatesh Subramanian: So thanks. I think it's a. It's a good thing that I'm bringing up a. Smile during Diwali. So we. Should the best I will be in touch, Sir. And will join the queue. Thank you, Sir.

Moderator: Thank you. The next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.

Bajrang Bafna: Congratulations to the company for the good performance despite a monsoon headwinds and hope that in next two quarters will cover the most what we lost in the last quarter. So Sir my first question pertains to you have already tried to answer the long term strategy for next 5 - 7 years how the company is going to look like but so to say, if we try to understand from let's say next two years perspective apart from lignite where you are going to expand in terms of next six mines which are the low hanging fruits where some work has already been done and we can see some sort of revenue flowing in or kicking in like your multi metal project or the limestone project or maybe bauxite or silica. So which could give us some sort of Philip for the revenue as well as the bottom line may not be a FY 24, but if we can send some-

thing that we are confident enough to get something on FY25 basis

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will be really helpful. And my second question, Sir, pertains to a we off late have seen that some sort of softening in the coal prices also where the NLC and few of the companies have indicated that reaction volume had not been picked up which has been done at the higher prices earlier. So how are you seeing that particular thing going precisely into next 2-3 quarters where we are seeing some sort of softening in the crude also. So some sense on that will be really helpful Sir. Roopw ant Singh: Thank you Bajrang . Let me answer your second question first. Yes, there has been a soft link, but can I rephrase it? I think there is more maturity now compared to the highly volatile months in the previous financial year, even there was a dip in prices in August, but which has this slight correction and I think there is maturity. So that is why we have not taken a price rise in this financial year, but at the same time what we have done is we have focused on better targeting the pricing structure to the needs of our customers from a simple two stage small and large classification, we have moved to a M, medium, micro, small, medium and large and super large category. Right. So that we are able to pass on the advantage or differential pricing to the right kind of enterprise and the micro units, most of them are very small players. We have introduced a system of discount below the base price, so we have moved on to a consolidation phase with regards to the relationship with our customers. And even if there is a further correction in an old international coal prices, we are mindful of that. We routinely track them. We would not be averse to tweaking our prices, depending on the production and the consumption centers and answering your first question . We are a mining company. We don't have any low hanging fruits. We do not have any short term remedies. We generally do not have quick fixes up off the kind when it comes to looking at larger projects, but even if you say that the low hanging fruits would be disposing the stock of box site that we have, disposing the huge

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stock of lime stone that we have and disposing the immensely large stocks of silica that we have. To enable this, we have undertaken studies first, then extend this sampling and testing at international labs and now we are going to roll out an exploratory a method of beneficiation. If this works out, this will be rolled out at a better state so that we are able to customize their product to the requirements of the customers. So , this would be the low hanging fruits. But in the coming two years, you would see the benchmarks being laid for the strategy that I spoke to Mr . Venkatesh. In the previous call and please watch out for RFP's for awarding work and looking for partners in the coming two to four quarters.

Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management . Please go ahead.

Ashish Kejriwal: So, my question is related lignite, what we understand is our volume from I think 2 mines Rajpardi & Tarakeshwar they are going to be exhausted in next two years and I don't know whether that time any new mines will come into operation or not. So my question is where we are going to peak out in terms of volumes for next two years and five years. Second question is I think in your previous question you said that no, if global coal prices falls, we can tweak prices. So are we at parity to landed cost of imports or still we are at a discount which normally is on the higher side as compared to earlier one and lastly, we have seen lots of

two info in lignite power plant in terms of PML, in terms of consistent profit making, we are not seeing that for last decade or so. So what are the plans which we are having where we

can give some confidence that it will be a consistent profit making in future ?

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Roopwant Singh: OK. So, the power plant; Things have improved daily cash burn has gone down, but the kind of improvement that we have envisioned is going to take four to six quarters. Because, there has been a total lack of investment over the life period of the plant till now. So if we have to look at better performance, it needs a major overhaul, a significant Capex and a change in the way the electricity regulator deals with us. Thankfully, there has been positive movement on all of these fronts as we get a permission on capital infusion and a better relationship with the bar regulator. You should see things happening and at the same time efforts to reduce the cash burn are underway. As far as the parity issue is concerned, we are not at parity. We are in calorific value, we are an inferior product compared to. But at the same time a lignite with its physical formation and the way it is mined and directly delivered to the consumer, it has a lot of acceptance in the set of our consumers. So, we maintain a parity and we currently are holding onto that parity and as far as Rajpardi and Tarkeshwar concerned that Tarkeshwar is not going to exhaust that Tarkeshwar has safety issues because the ore was sliding in the mine in the month of December last year. So we have at the moment we are going to engage the best of line consultants to ensure that we are able to take care of whatever happened. And resume production to a higher level there, this mine was not going to get exhausted soon. As far as Rajpardi is concerned, yes, volumes are low. This mine would go towards closure, but at the same time, by the time it goes in closure, there is going to be a project which goes by the name of Damlai which is going to come up adjoining to this project so we should not see an expression or a cessation of supplies from that place. The project will evolve from one into another. These are our plans and our ambitious plans are incoming three to five years. We seek to supply to satisfy the needs of solid food requirements of the state of Gujarat.

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Ashish Kejriwal: So there any number which you can provide that what the maximum reach we can do keeping in mind aggression of Rajpardi and coming off the mine number.

Roopwant Singh: An ambition for the company and the coming three to five years is to reach the production of 13 to 15 million tons.

Ashish Kejriwal: And sir lastly, is it possible to write what kind of Capex we have done in the first half and the total estimated Capex in FY 23?

Roopwant Singh: Planned Capex or which we have already incurred.

Ashish Kejriwal: Total Capex which will come to our cash flow in FY23 and first half work they have done it.

Roopwant Singh: Approximately slightly in excess of Rs.600 crores, which will primarily be used for land acquisition and two lignite beneficiation plants coming year if a condition to our aggressive pursuing of the new lignite projects. This capex would go up significantly, can double also and can go beyond that also.

Ashish Kejriwal: My question was what we have already done in first half of it.

Roopwant Singh: Nothing much has been done because we are waiting to do hopefully in the 3rd to 4th quarter. Hopefully this land acquisition issues would come to a head and it would get clogged in there.

Moderator:

Thank you. The next question is from the line of Shubham Agarwal from Equitas investment. Please go ahead.

Shubham Agarwal: Thank you for the opportunity. So my first question is with respect to the volume. So on the basis of various operational and statutory constraints that you mentioned, I wanted to understand what is the

maximum that we can produce per month currently? And secondly

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again you touched on Damlai, coming up once Rajpardi goes out. So what's the rated capacity of that and what will be the next line after Damlai that is expected to come up? And if you can also mention the time when it will happen? Thank you.

Roopwant Singh: The first thing that you should see happening is capacity ramp up in Bhavnagar, those RFP's are live and we would go up to 5 million tons in a year from Bhavnagar. So this is a significant production raise, number one. Second, you should look at which would come into production is. Lakhpat mine in Kutch. Thereafter, you should expect Damlai to come into production, thereafter two more projects in South Gujarat, we are yet to stagger their operationalization, and this is how it is going to roll out. And then after that two more projects in Kutch District. I would not be able to do justice to your question of per month, because mine to mine. The way the geology is, the way the mineral gets exposed there are challenges and changes. But please look at our annual figures. We shall be exceeding what we did last year and like I said earlier, we please look at us in excess of 09 million tons this year.

Shubham Agarwal: OK. So sir and my second question was on realization. So you have already tested briefly, but I further wanted to understand so basis the current availability of coals from various international and domestic market in your addressable sector, how do you view or what's your view on the realization for rest of the year.

Roopwant Singh: Supposing things stay as it is. This current delta continued so the realization. A better benchmark would not be the second quarter but judge us on how we performed during the first quarter. So that is the kind of performance we should be looking at.

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Moderator: The next question is from the line of Hitesh Chheda from Lucky Investment managers. Please go ahead.

Hitesh Chheda: Sir one clarification and one question to one of the participants. Did you mention the vision 4-5 year of 13 to 15 million ton or 30 to 50?

Roopwant Singh: 13 to 15

Hitesh Chheda: My second question is could you give us the trend in realizations on lignite blended realization for quarter one and quarter two and what are they running at now and the slope versus the imported coal for the same calorific value, how much discount we are still running at?

Roopwant Singh: So for the discount and delta there is no straightforward answer because production center and consumption centers are different, but it raises in the range of almost One point, If you look at a kilo calorie wise, so the imported coal landed price would be in excess of rupees 2 Kg calorie and our product would be in the range of 1.5 to 1.7. This is landed costs, so this is not the realization that is to us, but this is what ultimately the customer pays. But if we look at only fuel, the delta would further increase by 20-25 basis points.

Hitesh Chheda: And the realization gradient, if you could just tell us quarter one, quarter two and now.

Roopwant Singh: So it is the same, the realization is broadly in the same range. It is in the range of around ₹1500.

Hitesh Chheda: So you have

not taken any price increase. What was the last price circular that you had sent?

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Roopwant Singh: This was in the last financial year. This year what we have focused on

is not price rises. We have focused on better customer segmentation and improving our relations for a long term.

Hitesh Chheda: But that circular segment customer segmentation did not result in any realization benefit.

Roopwant Singh: No, that was not the intention. We have to on board the customers to the new regime while some people would have gotten advantage of moving to a lower bracket, many others move to the higher brackets. So we did not fiddle with the price at that time.

Hitesh Chheda: So all price increases taken in FY 22, the realization is about 1500 to 1600 per ton. And this 13 to 15 million ton production target that factors. The production rise from Bhavnagar, Lakhpat, Damlai, any of those mines coming in and production picking out at Pardi, right?

Roopwant Singh: Yes.

Hitesh Chheda: And this is a three-year number, right, or five year number.

Roopwant Singh: Three to five years.

Moderator: Thank you. The next question is from the line of Vaibhav Barjatya from honesty and integrity investments. Please go ahead.

Vaibhav Barjatya: So just two questions that I have. One is that there will be elections in Gujarat very soon, so just wanted to understand if the model code of conduct will be applicable to price hike that we take or the price changes that we take or it will not be applied. That is the first question. Second would be just wanted understand that on the supply of lignin side which is pathetic mines are were impacted a lot last quarter-

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ter basically the quarter ending September. So just wanted to understand these two things.

Roopwant Singh: Second question, there was some disturbance, could you please repeat the second question.

Vaibhav Barjatya: So the second question was the, I just wanted to understand due to the excessive rain, which specific mines were impacted due to rain?

Roopwant Singh: Well, Vaibhav all mines all through the three months. Some more, some less, but all the degrees of more and less are, when compared with severely affected. So, all mines are affected. And yes, ours is a listed company, but still 74% is sent by the Government of Gujarat. It is a PSU and it is owned by the government of Gujarat. We will not only will the model code of conduct apply on us, we will be mindful of the code during the elections. But as it is prices are more or less stabilized and we are operating at a comfortable differential. So this exercise would last for four weeks. And this model code does not affect operations in any way at all.

Vaibhav Barjatya: Right. So, just a small follow up. So as you said you to rate the most of the mines were infected but if you see the percentage wise fall in the mine wise sales volume, it's been excessive for the Surat clusters, so the mines which supply to Surat cluster there has been excessive. A very hard downfall there. So, do you think that there is a demand issue as well that the Surat cluster is facing or otherwise why there would be very sharp decline in Surat cluster and not the Morbi cluster.

Roopwant Singh: Yes. Surat was affected the most critically because 50% of the product goes there, and if you look at Surat and its vicinity, the percentage

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goes beyond 60%. So whatever happens, we'll have an overwhelming

effect from Surat. So that is how it was, things were pretty great, the production was very low and it mines and I now speak with the heart on where I seek the welfare and safety of my staff, my officers and my contractors. Things were very unsafe during these three months, but we have passed them with the acceptable rate of production

Moderator: Thank you. The next question is from the line of Aman Madrecha from

Augmenta Research Pvt. Ltd . Please go ahead.

Aman Madrecha: As you mentioned that you have moving to create giants applying to large in micro level organization and you mentioned that you introduced the discount below the base price. So just can you help us understand like what percentage of the lignite goes at discount Group three base price and like what percentage goes to the large or the larger organization if you have that break up.

Roopwant Singh: Yes it is t here a can I request to my general manager marketing and sales to give you a perspective on what goes to the micro sector and what goes to the two large categories, Mr . Rajat Das.

Rajat Das: Actually by working of this segmentation maximum volume goes to the micro sector and thereafter that that will be followed by small and medium and Large1 and Large 2 or are the top brackets and they are actually the industries which is having higher lignite consumption capacities. So , these classification was basically followed with respect to the government guideline of MSME segmentation. So that's why it was a long pending reforms and that was undertaken during last few months. So , I think I can able to answer your question.

Aman Madrecha: And then in addition to this, I just wanted to understand like what level difference in the relation which we are applying to larger player

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as compared to a micro player ? Because if you're looking at the dependence relation for like in quarter one with the realization on ground level of around 4600 to 4700 rupees per ton and this quarterly relations down to around 3700 rupees per ton. So it might be a factor of monsoon the prices softening down, but can it be a factor because we are supplying to medium and micro level organization at a discount below the base, right?

Rajat Das : So actually t here is a difference of around 120 rupees between micro and the largest segment that is L2 customers and a small , medium and large ones fall in between n. So the difference is around 120 rupees for metric ton.

Moderator: Thank you. There is a follow up question from the line of Venkatesh Subramanian from Logictree Investment Advisors . Please go ahead.

Venkatesh Subramanian: Yeah, Sir, just taking off from a previous participant question on the realization. So is it fair to assume, Sir, if I only take the current lignite volumes and the other minerals as it comes along, it's a bonus if I peg it at a 10 million tons and the realization at 1500 rupees per ton. So are we expected to continue to post similar kind of operating profits over the next few quarters and t hat's my first question . And second out of this, how much cap ex would you need Sir for the next 2-3 years? I'm just trying to figure out whether we will be able to maintain the same dividend.

Roopwant Singh: At the moment, lignite is a hot commodity, so whatever you produce gets sold. Our challenge with Bauxite is slightly different. What we were producing was not getting sold . So we will start producing that which gets sold. So that could also contribute to volume. Capex, whatever estimation we made this year is very modest because many of the preparatory activities , the lion share would go to land acquisi-

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tion. The, as you know the entire process is fairly long run out and the process was initiated during these financial years only. So you should see, it's clocking in t owards the end of this year and a lot of it in the next financial year. So it would easily be double of what we asked and it also depends on our progress w.r.t on-boarding new contractors and hitting ground i n the other projects. So that is a nother positive uncertainty to which we would have an answer by the end of fourth quarter. We have ample reserves and other, we have o ur own pla nning, but we have on boarded BCG to hel p us to vet our capital plans and to prioritize the m also. So you have a competent team of exp e-

rienced general managers from GMDC who do this capital planning and you have a team from the best consulting firm in the world, one of the best consulting firms to weight it and help that team prioritize it.

Moderator: Thank you. The next question is from the line of Falguni Dutta from Jet Age Securities, please go ahead.

Falguni Dutta: Sir, I have two questions. First is on the realization which you mentioned is around Rs.1500 per ton. But if we divide the value of lignite with the volumes we come at an excluding this captive sales to the thermal power plant, we come to a realization of about Rs.4300 per ton. So why this difference in their number?

Roopwant Singh: Ma'am, I think what we have quoted was the margin. This is the total realization, I believe that that is what is the understanding gap that we have between us. So you are right and what we quoted was the realization for the company and your second question was?

Falguni Dutta: No. So Rs.4300 is the realization, right? What is this number of Rs.1500?

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Roopwant Singh: It is our margin per ton. This is not flat, which we have said it is a approximately 1500 depending on mine, but only one center it very.

Falguni Dutta: OK, Sir. And the second question is on your rare earth opportunity by when would you be able to give a broad quantitative number of the top line that you could be doing from this rare opportunity of yours.

Roopwant Singh: Ma'am, I can only say at this moment our strategy report confirms very good numbers, very impressive numbers, but it is conditional to a slew of privileges or permissions that we need from the government in securing the passage and taking it forward, so I would not like to present in a rosy picture of a mirage which is too far away. We think it is in our grasp and. But allow me some time to share those numbers. We have those numbers. They are very good.

Falguni Dutta: Fine, Sir, one final question is on the pricing of coal that we follow to set our price for our lignite. So how has that behaved over the last one month? Our benchmark against which we benchmark our lignite.

Roopwant Singh: Our benchmark ma'am, what we are following is a landed cost approach because the production center and the consumption centers are spread over the entire state of Gujarat. So among the rationalizations that we did in the previous quarters was to ensure that the landed cost goes down by ensuring better allocation from the nearest mine. So, that was one of which worked to the advantage of both the customer and the company, most of started getting lifted. So, that was what we did this year. We started focusing on. Better targeting, so that in future if we have to take corrections and prices, it can be upwards, it can be downward and we have to sustain or generate revenues for our future growth strategy. We have used this quarter of lull, in production to for better segmentation.

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Falguni Dutta: This realization that we have Rs.4300 odd which is the value which we show for across mine. So that excludes transportation costs, right? That is the X mine realization, I presume.

Roopwant Singh: Yes.

Falguni Dutta: And Sir please if you could permit me one more question which is on the do we have a plan or in mind that we would be giving to end so percentage discount to the micro customers of ours. I mean do we have a particular percentage number in mind or how does it?

Roopwant Singh: Ma'am we don't have percentage but it is at 10 to the base price.

Moderator: Thank you. The next question is from the line of Riken Gopani from Capri Global, please go ahead.

Riken Gopani: I have two questions. That first one is on the existing realizations that we have discussed. I see that the volatility in realizations of the Mata no Madh mine is over the last two quarters is very different compared

to the other mine . Can you help understand that why is it, seeing that kind of a swing in realization and what is the way forward for that?

Roopwant Singh: Please allow me to. To share this question, forward this question to Mrs. Anupama Iyer, general manager accounts.

Anupama Iyer: Actually Mata no Madh mine is slightly part of power GUVNL plant also depending on their requirement and we supplied them on unconventional basis that their requirements are more our realizations come down from Mata no Madh mine and if the requirement is less than the supplying the market more, the relaxations are better. There is a change in realization of Mata no Madh mine project.

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Riken Gopani: OK. So this quarter basically there would have been less supply to the power plant, which is why the realization is improved. But on an overall annualized basis of that, I mean last year we did about 3.5 million tons from this mine which is external supplies. Is there a number that you can share as to how much can it go up? Or down for the power plant supplies.

Anupama Iyer: Depends on the how much power plant runs, because our power plant is also in this one and the other is.

Roopwant Singh: Can I answer that , well the plant hopefully in the coming quarters would be taking periodic breaks for getting healthy and ready so that it could run at sprinting speeds in five to six quarters from now , so. That would affect that would that is in fact an opportunity to realize capture value from customers.

Riken Gopani: OK. Just one follow up question to the comment you made in the earlier section about the Capex that might need to be done for the power plant, which you said that could be significant. If you could outline what this could be and by when would you be sort of ready to spend this capex on the power plant?

Roopwant Singh: To spend money on the plant we need to seek permission of the electricity regulator. We have submitted a petition for a capex in the range of Rs.300 crores. Most of it will be a pass through for the company, so once their petition gets approved that capital infusion would start. But it would not have an effect on our bottom line because it would be a pass through for us.

Riken Gopani: Understood, Sir. And just one last question or with regards to the mines that you've mentioned will come up in the next few years which is Bhavnagar , lakhpat and Damlai mine would. I mean I see that

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you have very differentiated quality of coal and therefore realization vary significantly between Mata no Madh to Rajpardi to all. So the newer mines which are coming up, what, what is your assessment of the quality and therefore how does it influence our overall realization over the Next three years.

Roopwant Singh: I can't have my view on quality. So this is geology and whatever quality. I probably will. Bhavnagar is not a new project, but has been working for a major expansion. So there is no new asset there. We are going to work on the quality of that lignite. It is fairly good calorific value, but it has the infusion of pyrite which we will seek to do. As far as the assets which are going to come up in Kutch so the calorific value is more or less at par with the existing projects that is Mata no Madh The ones which are going to come up in South Gujarat are bordering the existing mines so they would be in that quality. So it is a heartening news that one is adjacent to Rajpardi which is at rest product and 2nd is adjacent to Tarkeshwar which is again a good product and there's another product there which is between the two so you will get good quality there.

Moderator: Thank you. The next question is from the line of Shreyansh from SG Securities. Please go ahead.

Shreyansh: I had a few questions. So , the first one was in the power plant. So I

actually see the concessional coal lignite that is supplied to the power plant. Now we want to reduce the cash burn to 0 like you said, but if I see the opportunity cost lost it is much higher than the fixed cost, so even if we on a single project basis, if we look at 0 cash burn, but we're losing more money by not selling it into the market at this kind of realizations. So just wanted your view on that. The second question was in the annual report you mentioned about, in your letter to shareholders that we're in the process of bidding for commercial coal

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and lignite blocks outside the home state. So just wanted any clarification on that because we have not heard anything on that area and also your mention of downstream integration areas, next cement, I remember in the previous calls you mentioned that we won't be directly involved in manufacturing of cement, but just supplying limestone to a partner or something like that and the last was any update on the fluorspar beneficiation plant that add another be a while ago.

Roopwant Singh: So, a very valid question on opportunity cost. So this issue we are trying to resolve with the electricity regulator and the Energy Department. Hopefully, you should see some positivity there. We have asked to move much simpler formula which allows GMDC to do sustainable operations and the regulator also to get cheaper power there. So once this is done, you would see the realizations improve in the coming quarter. Coal auctions, yes we bid at a few places, yes, auctions for Ministry of Coal did not go so well. I believe they're going to be re-auctioning them and with our knowledge and experience that we have gathered now, I believe we should be in a better position to again capture value there. At some places ours is the only bidding, hence the blocker cancelled, and at other places the blocks that we examined, they I believe would go under significant redesigning because there were no takers there. And downstream integration, cement a Please wait for our expression of interest. Looking for partners in the coming quarters, you should see a sizable movement. Yeah, that is all I had to say.

Shreyansh: 13 to 15 million ton targets. So that does not involve any of these blocks that you would be bidding for and potentially winning those, right?

Roopwant Singh: 13 to 15 is based on our existing resources and the blocks that we were allotted a few years ago, which we're going to operationalize

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now. If that comes. In these numbers change, our customer mix also changes and our strategy would go undergo a radical change.

Shreyansh: OK. And just the fluorspar beneficiation plant, any progress on that?

Roopwant Singh: No, we will update you in the coming quarters.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Roopwant Singh: Thank you so much. I would like to close this conference with a deep sense of gratitude towards all the participants and their incisive and deep questions we have been having this conference for say above in year now. And I believe the questions and answers have all matured and move to the next level. Hopefully we continue this exercise and the questions and answers moved to a further refined level and the company moves towards greater professionalism. I again thank Shri Amit, Shri Venkatesh, Shri Bajrang, Shri Ashish, Shri Shubham, Shri Hitesh, Shri Vaibhav, Shri Aman, Miss Falguni, Shri Riken and Shri-Shreyansh. Thank you.

Moderator: Thank you all for being a part of the conference call. If you need any further information or clarification, please e-mail garav.g@conceptpr.com. Ladies and gentlemen, this concludes your

conference for today. Thank you for joining us. Thank you for using Chorus call conferencing services. You may now disconnect your lines. Thank you and have a pleasant day.

Call: Feb 2023

Gujarat Mineral Development Corporation Limited
(A Government of Gujarat Enterprise)
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To,

BSE Limited
P.J. Towers, Dalal Street
Mumbai -400001
Script Code: 532181 National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai -400051
Script Code: GMDCLTD

Dear Sir,

Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call

We had vide our letter dated 15th February, 2023 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 16th February , 2023 at 4.00 PM IST through audio Conference Call.

We send herewith a copy of Transcript of the said conference call which took place on 16th February , 202 3. The said transcript , along with the audio file link, is also uploaded on the Company's website i .e. www.gmdcltd.com .

You are requested to kindly take note of the same on your record.

Thanking you,

Yours faithfully,
For Gujarat Mineral Development Corporation Limited

Joel Evans
Company Secretary

Encl : As above

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Gujarat Mineral Development Corporation Ltd.
Q3 & 9MFY23 Earnings Conference Call
February 16th, 2023

- Shri. Roopwant Singh, IAS, Managing Director
- Shri L Kulshrestha, CGM CFO
- Shri H K Joshi, Sr. Gen. Manager (Tech)
- Shri A K Makadia, Sr. Gen. Manager (Tech)
- Shri R K Dash, Gen. Manager (Marketing & Sales)
- Shri Swagat Ray, Gen. Manager (Project Planning & Development)
- Smt. A K Iyer, Gen. Manager (Accounts)
- Shri J N Dave, General Manager (Power)
- Shri Arun Sharma, Advisor Silica
- Shri Joel Evans, Company Secretary

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Gujarat Mineral Development Corporation Ltd.
Q3 & 9MFY23 Earnings Conference Call
February 16th, 2023

Moderator: Good afternoon, Ladies and Gentlemen. I'm Yashashree, the moderator for this conference, Welcome to the Conference call of Gujarat Mineral Development Corporation Limited arranged by Concept Investor Relations to discuss its third quarter and nine months ended December 31st, 2022. We have with us today, Shri. Roopwant Singh, IAS, Managing Director, Shri L Kulshrestha, CGM CFO, Shri H K Joshi, Sr. Gen. Manager (Tech), Shri A K Makadia, Sr. Gen. Manager (Tech), Shri R K Dash, Gen. Manager (Marketing & Sales), Shri Swagat Ray, Gen. Manager (Project Planning & Development), Smt. A K Iyer, Gen. Manager (Accounts), Shri J N Dave, General Manager (Power), Shri Arun Sharma, Advisor Silica and Shri Joel Evans, Company Secretary . At this moment, all participants are in listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question please press * and 1 on your telephone keypad. Please note this conference is recorded. I would now like to handover the floor to Shri. Roopwant Singh, Chairman & Managing Director. Thank you and over to you sir.

Roopwant Singh: Thank you so much. We thank Concept Investor Relations and we thank all the guests who joined in for this on call. GM DC has shared the results for its third quarter for the current financial year. We're open to questions. We welcome you all.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Amit Dixit from ICICI Securities . Please go ahead.

Amit Dixit : I have two questions. The first one is essentially on for volume . So given the nine month s' performance and January month operating performance factor, what kind of volumes are we looking for in and about the three -year target for FY24, that is the first question. The second one is if you can update us on the progress with respect to the study being conducted by GMDC for various projects and rare earth projects too .

Roopwant Singh: On which projects Amit would you like to focus on?

Amit Dixit: The Rare Earth and multi metal primary

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Roopwant Singh: Amit, we will reply with the first question. We had begun this financial year with an ambitious target of trying to reach 10 million tonnes. But three unforeseen things have hit us this year. One was a very, very good monsoon across the state, affecting all our three geographical areas where our mines are located. So you must have seen quarter two was subdued and some of its effect also overflowed into Q3. Number 2 In December, for the past one year, we have been facing issues with our Tadkeshwar project that is in Surat. The project used to make a lot of money for the company and used to cater to our most voluminous and active customer base. That is the Surat customer base. That project has not been doing well, and there it is closed for the past few months because of safety issues. There has been a major sliding there. There is no loss of light. The issue has to be solved on a technical level and we hope it will take us 1.5 to 2 quarters to probably resolve it but still we are unsure of what production we will achieve so that has been the second hit. Third challenge has been exhaustion of quantity in the Bhavnagar project. But that is a solution in progress. The new RFP has divided the mine into two packages. So the work will hence will be given to two contractors. We are in the final stages of award of the project and you should see the results of increased production in the first quarter of next financial year. And we would like to again plan and touch 10 million tons in the coming years. And as far as the update on projects related to critical minerals, as regards the multi metal project.

The year was spent in doing geological studies and the results have been very encouraging. The resource base, which was in excess of 10.5 % has gone up by significantly by 1.5%. And next stage of exploration is planned now, the work is in an avoid stage. Once the geological data is solidified, we will move forward towards the other aspects of the project. As far as the rare earth is concerned. I'm not at liberty to share because it is in the critical minerals category. We are awaiting some approvals if and when they come, we will share in full detail.

Moderator: Thank you. We have our next question from the line of Shubham Agarwal from Aequitas. Please go ahead.

Shubham Agarwal: My first question is I wanted to understand what was our total volume of lignite sales externally for the quarter? And secondly, broadly, I wanted to understand if you can elaborate on our new capital budget, how are we planning to deploy the Rs. 2500 crore and if you can broadly explain what will be the timeline of various projects and the amount that will be helpful for us.

Roopwant Singh: OK, for the first question, I would request our general manager, marketing and sales, Mr. Rajat Dash, he will fairly elaborately for you for the second one, I'll answer it myself.

Rajat Dash: Good afternoon, Shubham. So in quarter three, actually the total fare to open market and our power plants is to the 55.78 lakh metric tons out of this 55.78 lakh metric tons 42.49 was sold to

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the open market. And 13.29 was supplied to our own power plant as well as the power plant of GUVNL. So that is the split up 42 and 13 total 55.78.

Shubham Agarwal: And one for the capital budget.

Roopwant Singh: You must have seen compared to last year, the company has done well over the past three, four quarters, our reserves have gone up and hence we have come up with a very ambitious capital budget which is four times the capital budget which was planned last year. The majority of this amount in excess of Rs. 1500 crores goes towards land acquisition, one towards the Tarkeshwar asset two towards Bhavnagar asset where we are planning expansion and the resolution of certain issues and the rest would go in the new projects, besides this we have had small victories for GMDC. We have got permission for a Rs. 300 crore CapEx pass through for the thermal power plant which has been underperforming. So that is another important CapEx item. Besides this, there are CapEx items which are not such large numbers in the range of growth, which are essentially beneficiation plants spread over our lignite projects and metal projects. So that is the plan.

Shubham Agarwal: But broadly if you can help us also understand the timeline of various projects that would be very helpful.

Roopwant Singh: OK. Land acquisition, yes, work would start as soon as we would get board approval for land acquisition. We have already started preparatory activities at quarter back. Now we would go for final go ahead for that. As far as the new project is concerned, again preparatory activities have started, but the expenditure would be slightly would kick in quarter or two later compared to our existing. Projects for the Kamal Power plant turn around. We have an aggressive timeline of turning around the asset in 12 months. So you should see a lot of RFP's in two to three months from now and we should see a lot of work happening in Q2 and Q3 at the power plant and as far as the smaller beneficiation plants are concerned, we are going to time it along with the engagement of new contractors, we're going to time it along with that. So that the fund is spent at the appropriate time.

Moderator: Thank you. We have our next question from the line of Shreyas Gathani from SG Securities. Please go ahead.

Shreyas Gathani: I had a couple of questions. The first one is on the coal mine

that GMDC has bid for so last call you

said that. If we win certain mines then it would change the target outputs by a very different number. So in the press release also, you mentioned that there have been certain mines that GMDC has bid for, so just wanted to get some input from you on that. The second question is I'm a little confused on the Bhavnagar project. So is there some issue that's going on which caused exhaustion. Or that sudden exhaustion has come into the project, it was not pre-planned or I'm not

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understanding why it would come to a standstill like Tadkeshwar. There's some sort of issue is something that I understand, but Bhavnagar is something that I wanted to know more about.

Roopwant Singh: OK, just let me answer the first question. As far as the coal mines auction is concerned, we are currently midway. The bidding is to start and if we are successful we will need to change ourselves in so many ways on the project execution side, on production side, on the marketing and sales side, we would need to change considerably. Not that work is not going on there. A lot of thought is going into it, but if we win we will be taking these projects very aggressively. In a very time bound manner, because significant security will be at stake and any failure or delay, we will treat it as a reputational loss. So you should expect swift movement if you're successful in coal mines auction. Bhavnagar project it is kind of the current pressure is linked to the crisis at Tadkeshwar. Bhavnagar and Tadkeshwar they essentially service South Gujarat and South Gujarat to the major portion is Surat.

So Tadkeshwar. was taking care of Surat, so we thought we had time to ramp up. But because of this, Tadkeshwar. collapse, the pressure came on Bhavnagar immediately to ramp up. Thankfully, we had put work in action. There is still time and quantity remaining for the existing contractor, but because of Tadkeshwar it looks more like a crisis, but we'll resolve it.

Shreyas Gathani: Got it. So when do we expect any Results out of the auctions .

Roopwant Singh: We should know in March, I believe.

Shreyas Gathani: And is there any size of output that if we blocks there any what kind of output are we looking at

Roopwant Singh: Can't say at this moment , it's a great thing we can't really say . But we have a marketin g strategy.

We have indicative list of customers w hich we will be targeting. We have done our homework. The point is if we win, it will be implementing, it will be the challenge.

Shreyas Gathani: OK. OK, sorry. Just one more question on the R E project. So jus t on the timeline, so since the last few quarters, we've been mentioning that there is work going on over there. So just wanted to know when. We should expect something more concrete on that? I know that you already mentioned that there's a lot of progress that happened.

Roopwant Singh: I'll have to repeat the same answer. Apologies on that.

Moderator: Thank you. We have our next question from the line of Ashish Kejriwal from Nuvama institutional equities . Please go ahead.

Ashish Kejriw al: A couple of questions. When we are talking about 10 million ton in next year which are the mines where we can see incremental output in a major mine because Bhavnagar is the only mine which

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we think that can give more output. But I'm not sure whether we can achieve that in next year. So if you can throw some light on that. That's the first question. Second question is, besides this operating min es we were looking to open the new mind, which I think Lakhp at was the first one. So was the target or was t he estimate for opening in that and two bookkeeping questions. What is the cash and cash equivalent as of third quarter end? And CapEx, what we have done in nine months and our target for FY23 and 24.

Roopwant Singh: The thrust in production

will come from Bhavnagar. The ramp up is looking very easy. We should see ourselves crossing. We have planned for 3.3 million tonnes just fro m Bhavnagar. So we should see these volumes being achieved. And we hope to solve the Tadkes hwar issue also and profligate decent production from that project also. As far as new minds are concerned, the first one to roll off you should see Lakhp at and y ou should see one more project, say groundbreaking again in Kutch and we are aggressive on for two projects in South Gujarat. Also, you should see award of all these projects in the coming financial year and ground breaking in three to four of them. And production for the rest, in the coming financial year, we are going to move very aggressively th ere. As far as the cash reserves on Q3 and current CapEx, its status and what is our plan, I would request Mrs.

Anupama Ayer , General Manager - Account s to please engage.

Anupama Ayer: As on 31st December, you have cash of around Rs. 2500 Crore w ith us, free cash reserves with us. And next, during the current financial year CapEx we have not spent too much because major CapEx was planned for land only when that work is going on details a nd everything is being prepared, s o we have taken that to the ne xt year's budget and next year's CapEx budget around Rs. 2500 crores . Out of that major is towards l and and renovation of our Akrimota Thermal Power Station.

Ashish Kejriwal: So how much we have spent in FY 23?

Anupama Ayer: FY23, no major CapEx is plan ned.

Ashish Kejriwal: OK, so entire Rs. 2500 crore, you are seeing that we can spend in FY24.

Anupama Ayer: In FY24, it is the major CapEx is planned because delivery work of the CapEx has been done in FY 23. So we'll be able to spend during that year.

Ashish Kejriwal: So again, to take it forward, so is it the main reason because of which our dividend distribut ion is low compared to other PSUs that is one . And when Sir, you talked about Bhavnagar 3.3 million to n.

Are we t argeting that in FY24 itself or in FY25.

Roopwant Singh: Yes, and we give good dividend, you know that, we have given record dividend last year.

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Ashish Kejriwal: Sir. Actually, when we are talking about from the face value it looks good but when we are comparing with the yield it looks very low especially when we have Rs. 2500 crore cash.

Roopwant Singh: I believe the investor community should have faith in us and allow us to support us in this CapEx expenditure so that the company goes to newer levels. And the entire way the investor community sees us, that totally changes. That is what our aspiration is .

Ashish Kejriwal: So Sir, just on tapping on the Bhavnagar thing, now we are doing 1.3 -1.4 million ton . So from 1.4 to 3.3 in a particular year, we have to do something really different then only we can do it in a year's time. I don't know when we are going to achieve that kind of run rate, at least for a particular month.

So how confident we are for 3.3 million ton in FY24 .

Roopwant Singh: So I will give you two or three things the way we are doing things differently. There one instead of one mining contractor there are two mining contractors who will be doing the job. So there are two packages. So two parties will hit the ground production should be better. Number two for the current projects, the major CapEx is going towards Bhavnagar. And three, we will also explore now this is a work in progress. We will explore newer ways of evacuation from Bhavnagar to South Gujarat. That is a work in progress and we will hopefully let you know. Because the object would not be just to produce that object would be ensure that it is consumed.

Ashish Kejriwal: So, Sir, just to get into more sense and Bhavnagar, is it just mining contractor issue or we have to acquire further land also in order to increase our mining limit over there?

R

Roopwant Singh: There is no issue. Acquisition of land is conditional because if you have to set two packages and two contractors there large number of areas would have to be. There is no issue there. We had planned for expansion slightly later, but Tadkeshwar collapsed, so the thing has to be fast tracked. That's it.

Moderator: Thank you. We move on to the next question from the line of Pritesh Chheda from Lucky investment managers. Please go ahead.

Pritesh Chheda: So there was a realization of 15 -16 hundred that we were getting and there was no price increase controller for FY23. So that realization continues or there is any changes in realization. And what is your call on realization for FY24 when you would have your next round of price circular?

Roopwant Singh: OK. I would like to request General Manager marketing and sales Mr. Rajat Dash to answer the first question on our current realizations.

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Rajat Dash: The current realization per metric ton is around ₹4200. And for next year's realization, that depends, actually because we are operating in an environment where our immediate competitor is imported coal from Indonesian origin. So real time actually we are able to penetrate the market and. And the price and I think that that will be a question to answer in future just to come.

Pritesh Chheda: Is there any change in this 4200 since the last two quarters or it's a similar number ?

Rajat Dash: By and large, it is similar because we are maintaining the prices since April, there is a minor correction during the first fortnight of February, but that's a very minor correction .

And on the volume side now, what kind of volumes would you do in FY 23? Will you do eight million or less than that?

Rajat Dash: We are targeting to match the production what was achieved during last year. So it will be beyond eight million. We're targeting beyond eight million .

Pritesh Chheda: Last year we did 8.5, so you'll try and match that that figure, you have stock to sell that extra stock. That's why you will be able to watch it or you like to mine it.

Rajat Dash: No, actually here we don't have any stock actually because we produce and we used to sell. So in that case, so there are there are capacities and we are changing to a match the production to the tune of last year's production. That's our ambition.

Pritesh Chheda: And lastly, is Rs. 2400 crore CapEx that we are calling out. Where are we spending is Rs. 2400. So I heard I and renovation of the power plant. If you could give some drive sufficient.

Roopwant Singh : These broad numbers Rs. 2500 crores, Rs. 1500 crores goes into land acquisition. Out of this 40% goes into Brownfield projects, 60% goes into Greenfield. Beyond that, there is a significant CapEx of 600 crores in capital machinery. Out of that, 50% goes into the thermal power plant. Rest goes into small beneficiation plants. Besides, whatever is left is developing new colonies for assets , refurbishing, old assets, refurbishing dead assets, debt cost centers, every penny that is going to be sales spent has to get some return. So that is the ambition.

Pritesh Chheda: And any progress on the rare earth

Roopwant Singh : I'll have to repeat my same answer which is a critical mineral. There is certain secrecy involved and when we have clarification we will give full details.

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Pritesh Chheda: And lastly, when will the Pardi mine start decelerating in volume and have, we taken enough care that whenever for the Pardi mine stuff resulting in volume, there is some other mine, which will pick up.

Roopwant Singh: Rajpardi is the mine which is you can say it is on its deathbed you may see production for an year or we may see a closure earlier also. So we're not betting big there but the intention is to squeeze the last bit of water out the ring. The last d

rop of water out of the cloth layer.

Pritesh Chheda: And how much volumes comes from there?

Roopwant Singh: Marginal , a few lakh tonnes . It is very good that the ambition there is Dam lai new project which is adjacent to Raj pardi. So you would have seen the RFP which has been floated for Dam lai that is what we need t o close soon. And we expe ct ground breaking in FY24 , that again is product which is as good as Rajpardi and Rajpardi is our best product but limited at the moment. S o, bet on Dam lai which is adjacent to Rajpardi.

Pritesh Chheda: Groundbreaking means start producing and selling right or just.

Roopwant Singh: Ground breaking means lot of mobilization expenditure and very minimal production.

Pritesh Chheda: Bhavnagar is already in ground -broke and all that is done ?

Roopwant Singh: That is the Brownfield project.

Moderator: Thank you. We have our next question from the line of Jiten Parmar from Aurum Capital . Please go ahead.

Jiten Parmar: My question i s regarding that cash, Rs. 2500 crore cash which we have talked about. End of last financial year, I think it was around Rs.1400 crores and obviously we have done well in the nine months. So it is. Around Rs. 2500 crore . Can you give a break up? Of you know. How the cash, how that particular cash is deployed and what is the y ield on that?

Roopwant Singh: Well, our cash reserves are with our banker, which is the state government banker also for these kind of reserve wh ich is GS FS which is a non-banking finance company. The yield is prett y good. I would request our CFO Mr. Kulshrestha to shed light there .

L Kulshrestha : We have depo sited other cash surplus in GS FS where we are getting interest at the rate of 6.5%. So you can say our yield is 6.5% on cash surplus .

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Jiten Parmar: OK, now there was one particular entry about balance sheet, government authorities about Rs.122 crores or something. Now, what could that be and is it interest bearing ?

L Kulshrest ha: That is not interest bearing.

Jiten Parmar: OK. So balance with government authorities, I mean what is that and w hy we have kept that in?

Anupama Ayer: Balance in the government authority is the royalty advance which you have paid to the CGM office because royalty, we have to pay in the advance that we show as a balance wi th the government authorities.

Moderator: Thank you. We have our next question from the line of Rahul Jain from Systematix . Please go ahead.

Rahul Jain : So I just want to get a more clearer picture. So we are doing this massive CapEx in Bhavnagar. So what is the road map on what probably ending up with 7 to 8 million tons and how do you see shaping up over the next few years and five years, so first is that. Second ly, on the whole prices, so this year was quite unusual. Obviously we see in a very large price range. So you may not have a similar kind of price increase prevailing that's what probably you know some correction happens. So how do we see our cash flow mismatch so we actually te nd to continue with it or we have visionary.

Roopwant Singh: I'll answer the second question first. P rice increases were needed because certain projects were bleeding and we wanted to prevent black marketing and at the sa me time ensure better realization for the company. So price corrections were done with that intention now. And while we were doing those price corrections, we were mindful that this the entire marketing and sales strategy would be dynamic and from taking c ues from the market we will soften the prices if there is softening wit h the imported coal price. At the same time, our booking amounts have improved since January since we have ensured better customer engagement, you would have to visit our website . We have launched a new initiative whereby we grade our customers and it is known as customer engagement index. It is a public i

ndex where. Customers are gazed on their interaction with the company and the better engaged customers a re there. It is a dynam ic score and the ones who do better are given additional allocation. This one initiative has ensured 10% more booking in the month of January, so from crude implements like price rises in the previous quarters, we are moving towards minor implements and we are open to price corrections, but at the same time sustaining sales and avoid any build up at the inventory. So that would be our goal.

Rahul Jain: But on the volume o utlook like for this year and two years, three years and five years beyond.

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Roopwant Singh: This year you should look at above 8 million say 8.5 million and next year we would have a target of touching 10 million and a few years from now the number should be much , much better.

Rahul Jain: And also, the expansion that Rs. 2500 crores and the capital allocation, we're doing. So what kind do you what kind of numbers are we going to see from that because see in the past where I'm coming from a lot of our investments have been below par. For example in the past, our projects haven't really b een to the market. So I'm just want to measure what kind of longevity and numbers are we seeing for this new expansion that we're doing ?

Roopwant Singh: Rahul, when we are spending money this time besides I and acquisition that I believe is the most straightforward exercise besides that, whatever CapEx is going to be happening now is going to be more sure footed and would have a better governance system than in the past, as you would know, we have got permission for a Rs. 300 crore CapEx pass through from Gujarat Energy Regulatory Commission. Now that is a big confidence booster for GMDC along with that pass through. Our controller juvenile has also agreed to relook the PPA terms, so these are big victories and they are all conditional to better governance and better deployment of capital. And you shall see that in the coming financial year.

Rahul Jain: I'm just trying to get the praise. So, you are spending Rs. 2500 crores for how much additional lignite should be expected in three years or five years whenever the project is complete?

Roopwant Singh: So, the expansion is gradual in two to three years from now. You should see us standing at 30 to 50 million tonnes.

Moderator: Thank you. We have our next question from the line of Falguni Dutta from Jet Age Securities pvt ltd . Please go ahead.

Falguni Dutta: I just had one question, just wanted to confirm the sales volume to external sales volume for the Q3 is it 1.65 million ton and how much is the decline versus same time last year?

Rajat Dash: Yes, of course there is a decline, this time actually we produced around 19.38 lakh metric ton that translates into 1.93 million metric tons and during the corresponding period of last year, the production was 2.2 million Metric tons. So of course there is a decline. There is a decline to the tune of 13%.

Falguni Dutta: And is this number of mine correct, the external sales 1.65 million tonne for the quarter. I mean sales excluding the sales to our own power plant, I just wanted to clarify that's how we would get

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our realization, no, if we need to exclude this from the sales volume, the sales to our own captive power plant and correspondingly remove the sales value also to get the realization that's how we would do it, right.

Rajat Dash: Yeah, of course. Again, the supply to our own power plant and to the summit, one power plant is to the tune of 3 lakh to 4 lakh. So you can minus it from 19.38.

Falguni Dutta: how much did you say 3 point?

Rajat Dash: 3 lakh to 4 lakh.

Falguni Dutta: And Sir, one more question that's on the power plant. When do we expect things to improve there and what is the big hindrance there in terms of performance improvement.

performance improvement.

Rajat Dash: Ma'am, no hindrance. All hindrances have been removed. We just need one year to put things back in order, so please expect improvements from February '24 onwards.

Moderator: Thank you. We have a next question from the line of Nalin Shah from NVS Brokerage Pvt. Ltd . Please go ahead.

Nalin Shah: I have a few questions. First is that current year looking to the nine months figure and the last year performance, I feel that we are going to be somewhere close to Rs. 3700 to 4000 crores on top line.

On the top of that, we are incurring the CapEx of another Rs. 2400-2500 of rupees over next 12 to 18 months. So my question is that when do you see the company's going to a Billion dollar kind of top line. In next whether 2-3-4-5 years. Here's my first question. Second question is, Sir, that you are saying that you know you are declaring a very good dividend, but in terms of shareholders reward policy, are we going to have some kind of this thing distribution policy that OK, whatever the profits, we realize we will distribute 20% or 25% or 30% of the profits for the shareholders and balance, will be for whatever growth and expansion etc.

Roopwant Singh: Nalin, second question first, I'll answer both together. If we need to be a billion dollar company we need to plough back every piece of money at our hand, at the same time, budgets that we are ploughing back into have phenomenally good IRR ratios. So investors should feel rest assured and have faith in company for the coming two to three financial year's where the company would be in an expansion mode and new things would be opening up. And you should see a lot of award of a lot of work and lot of ground breaking in the coming financial year.

Nalin Shah: But Sir, can you give some idea about a billion dollar top line kind of this thing position?

Roopwant Singh: We never knew we had such good friends like you who have so much faith in us.

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Nalin Shah: You created that faith during, in last about 2.5-3 years performance that it has done wonderfully well.

Roopwant Singh: Nalin, please have faith in this company. This company should be three or four times itself provided it goes on the same trajectory in the coming 5-6 years.

Nalin Shah: My next question is. Sir, that what is the is anything other than lignite is going to be, any other items of mining products which are going to add lot of value to our company like Bauxite or any other

things which are there because in your annual report I see lot many items which are listed down maybe these are not very significant in terms of volume and value. But are we expecting something big to come up.

Roopwant Singh: Our aspiration is to have at least half our revenues coming from beyond lignite. Now this is easier said than done. Yes, it is a very difficult task to open a coal or lignite mine and to run it open and run a metal mine or a non-lignite mine is even tougher. So we have big tasks on our hand and hopefully in the coming two to three years we expect to move on it. But we expect to move on it more sure footedly, better estimation of reserves. That is the plan.

Nalin Shah: And the last question is you have already said something, but I just want to put it differently on these rare earth elements, what we want to understand is, this is the product or item which is like in a normal mining operations it comes out or whether some kind of identification, some kind of R&D lab testing, etc. Needs to be done to find out whether it is a rare item or not. And what kind of a potential, because we have heard in the past that rare Earth has something very, very unimaginable kind of advantages and in terms of consumption or pricing, whether it is in domestic market or export market, if you can just give us some idea about this entire segment.

Roopwant Singh:

We will not give you some idea. We'll give you a detailed idea, but not at this time.

Moderator: Thank you. Thank you. We have our next question from the line of Keshav Garg from Counter - Cyclical PMS. Please go ahead.

Keshav Garg: Just wanted to understand that it was mentioned sometime back that we have some amount of Bauxite and Fluorspar that we can see the Bauxite that we can just auction after some beneficiation etcetera. Sir, so. So when can the basically revenues from the disposal of Bauxite can be expected, can be expected in next financial year?

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Roopwant Singh: Our team, our metals technical division led by Mr. Makadia is on the job. He is here at the moment and we are going to come in the pilot project on beneficiation, Mr. Makadia.

A K Makadia: Disposal of the stock has already begun. We plan to commence our pilot by end of this February and you will see a lot of improvement in case of Bauxite very soon maybe probably in this financial year as a proof of concept and next financial. You will see the boom in the Bauxite division.

Keshav Garg: And if you could just quantify, give us some idea that in next financial year, Sir, can it be like 1 million ton of Bauxite or can it be any, any rough idea?

A K Makadia: Probably we will be targeting around 0.88 million ton of the Bauxite displays during next financial year.

Keshav Garg: So that is very encouraging to know. And Sir, any movement on the fluorspar side?

Roopwant Singh: Certainly we have started our refurbishing our plant. And hopefully we want to make a trial run by 15th of August 2023 and commence the production by Q4.

Keshav Garg: And lastly just wanted your judgment for the next financial year, what kind of lignite volumes you think that we can achieve in FY 24?

Roopwant Singh: So the lignite volume expected in net financially is 10 million tons.

Moderator: Thank you. We have a next question from the line of Vinayak Anawalikar, a retail investor. Please go ahead.

Vinayak Anawalikar: This is follow up question which has been already asked. Now I'm not going to ask you about the timeline. But in the last concall you had mentioned about two initiatives. One was the project Shikhar wherein you had engaged Boston Consulting Group for opportunities beyond lignite and rare earth elements. And the second one was of course, Mackenzie. Which was to prepare a strategic road map for REE opportunity. Now I just wanted to know. If these reports have been submitted to you, what is the status of these initiatives? I'm not talking in terms of actual mining or actual finding. What is the content? But have these consulting groups submitted the report and are you going as per their side? That's my first question. My second question would be you said that out of 6.28 million tons of IHMS deposits, 10% approximately would be the metal content and just a while ago you also said that you are expecting 1.5% growth in metal content. As per the revised estimate, so should we consider it as 11.5% metal content in high HMs deposits at Ambadongar?

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Roopwant Singh: OK, let me answer your first question first. As far as BCG work is concerned, Project Shikhar is under implementation. The consulting firm has done a commendable job of assessing the opportunities big tickets all ticket where gains have to be made and it is a work in progress. They have critically analyzed all our business streams and the result has been good and has been able to direct our efforts in the direction where significant gain is there and as per the question on fluorspar, I would

request Mr. Makadia again to respond to that.

A K Makadia: I think there was some confusion in our understanding or answering the question I'm trying to answer the questions. The 1.5% increase we were talking about was in a multi metal project merger

ing. The initial resources was expected to get the metal content of 10.5, but after the desktop studies being carried out and in the words of computation within 3-4 months, we see an improvement in the metal content in the Ore and that is 1.5 is at Ambaji multi metal project.

Vinayak Anawalikar: I have another question you had said talked about Rs. 300 crores CapEx for thermal power plant. So, sorry if I missed this, is this a Greenfield project or a brownfield expansion or refurbishment of the existing thermal power plant?

A K Makadia: The power plant is a brownfield project is already in the operations with 300 crore CapEx passed through approved by inaudible and is will be deployed maybe from the three and you will see the result from February 24

Vinayak Anawalikar: OK, thanks. And one last question from my side Sir. Are you doing anything to streamline your operations? Like if you have so much of reserves? Even considering extended monsoon extended what you can say strikes or agitations. Can you not have a sustained growth year on year basis or quarter on quarter basis for as far as production is concerned, I'm specifically talking of lignite. Like this year, you are actually doing almost less than what you did last year. Can't you put in some things in place, improvements in place wherein you can show year on year growth?

Roopwant Singh: We had two things. One. Natural disasters beyond control of the company. These are unfortunate incidents and we cannot plan, number 2 natural phenomena like excessive heavy rain. These are things which we again cannot control, number 3 as far as. Production of lignite is concerned. We produce and sell it directly. We do not stock, stocking leads to additional costs and diminishing the returns from the offset. While I have said all these three things, I would also like to say we are going to embark on a process of digitizing. Our minds to ensure greater efficiency of mining operations and which would result in a national saving of resources where we seek, through digitization, of operations and use of Internet devices, IoT devices, we would seek to control our variable costs,

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which would be significant. So in the coming year, you should see action on that and we'll be sharing details of that.

Moderator: Thank you. We have a next question from the line of Govindlal Gilada, an individual investor. Please go ahead.

Govindlal Gilada: I've got two suggestions and two data point questions, so one thing is this Tadkeshwar and this landslide all that I request you to give timely announcement to exchange, so we should not know from other sources. This information was circulated in WhatsApp group. I don't know where the funding got this information. Second, the suggestion is this. Sir, press release. We should have some uniformity in giving the data points of production all that. So this time you have given nine months production, sometimes you give quarterly production data also this time we have not given so we can keep track. Now coming to. My data point question, Sir. Tadkeshwar I want to know, Sir. December launch. Right. So how much production we have last in December? Otherwise, what is the regular possibly capacity of purchase? That is one thing then last question is on this 8.5 million we are guiding service so nine months we have done 5.73. So in one quarter 2.77 million, is it possible, Sir? Because Tadkeshwar you told that the whole this quarter will not be available. It will take one and half to two quarters. So Tadkeshwar, we're totally going out. There. So how this match time is 2.77 million then doing in. This three month last question is on realization set. Again, the last question, this coal imported prices have gone down something like. 25%-30% and how, with just minor correction in separately we are holding prices that's also from my side. Thank you very much

Roopwant Singh: Thank you suggestions are noted as far as the volume is concerned, we are chasing 8.5. Hopefully we should get there. So these are ambitions, yes, corrections upward and downward. When we spoke of dynamic prices, when the price is softening we will make tactical changes. The idea is to offload and ensure continuous flow of resource and continuity of operations. As far as Tadkeshwar is concerned, I would request Mr. Swagat Ray to share what they were producing.

Swagat Ray: In Tadkeshwar because of this land sliding unfortunately in the month of December and prior to that in the last quarter also it occurred previously. So for the two consecutive sliding production has gone down by around 35%. That would have been better if we would be able to continue the production in Tadkeshwar. And our overall and target could have been achieved.

Govindlal Gilada: So this data point of nine months 5.73 production figure we have given first quarter was 2.33 third quarter you told 1.93 is it right?

Swagat Ray: Yes.

Govindlal Gilada: So second quarter, it means 1.47 second numbers.

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Swagat Ray: Yes.

Moderator: Thank you. We have our next question from the line of Somnath Paul , an individual investor. Please go ahead.

Somnath Paul : So a couple of questions. One, that given the great team that you have with you who are driving the company to next growth, so I see key management personnel as a major risk given the growth trajectory you're planning. So do you echo with his thoughts, and I mean, has there been some thought on? How shall it proceed? And secondly, Sir, I wanted to know versus the lignite the industry whom we serve vis a vis the propane and the natural gas consumers in the sense of there's a trust for green energy usage and a lot of them are converting to propane based. So in terms of cost per Calorific value or availability so some broader light on that and do we see that as a threat in terms of compressing?

Roopwant Singh: For the key management personnel. I can say this with a lot of pride that the second rung of leadership just below the general manager level is very good. And as we open new projects, we have very good people who can be moved into leadership positions. So it is a sense of pride. For me, as managing director and for the top management, that very good people have been groomed in the second rung and when the company expands, they will take over more tricky responsibilities. As far as the propane is concerned, at the moment that is not an issue we factor in while making our marketing and sales decisions, but thank you for the suggestion we will take note of it and we will be mindful of it.

Somnath Paul: So could you throw some light on the general industries we serve compared to some clusters which suppose Morbi another clusters which use propane and natural gas based input fuels and in some broader sense of kind of industries consumption was these?

Rajat Dash: Basically, we used to sort three to four clusters. One is Surat and they are basically having textile industries. And they account for around 41% of our total sales volume, apart from that there is a major cluster at Morbi and they used to produce. They're having ceramic industries . And another cluster is close to Ahmedabad and it is a mixed kind of industry and predominantly textile and some other industries are also they are close to Ahmedabad cluster, so in terms of the use of solid fuels or fuels in these kind of clusters and in particular kind of industries. So as far as our knowledge is concerned, in the extent that they use lignite and imported coal mix to cater their fuel rates and at Ahmedabad , the trend is the same, but at Morbi actually there are two processes because they used to have two kind of process to produce this ceramic tiles or ceramic products. So in the initial

process they used lignite as well as imported coal as a mix. And in the downstream process they

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use gas. So this is the kind of fuel that have been used in different clusters and different type of industries.

Somnath Paul: OK. So the risk I thought of making your team aware was that there could be a regulatory notice and probably the demand might get affected in terms of shifting some part of consumption to cleaner fuels.

Rajat Dash: Because of those regulatory restrictions gases in the downstream processes in ceramic clusters.

Moderator: Thank you. We have our next question from the line of Alpesh Sheth from Mphasis . Please go ahead.

Alpesh Sheth : So my questions are a little bit related to the earlier participants. So we are taking many new and bold steps towards the growth of the company, which are totally understood . And like they are positive, but everything is skewed towards fossil fuels generation, correct now situation is very dynamic and agile. Nobody knows what's in the future. So any due diligence, are we parallelly doing if there are ban on some fossil fuels or there are some regulatory like moving towards Greece? The second thing was on, I think we have some partnership with I create. That is more towards like a good solutions or some EV related solutions or moving towards green. So just wanted to know something more about it because I saw like we are a partner to that.

Roopwant Singh: Yes, we are extremely concerned and mindful of the fact that we are a leader in fossil fuel production and at the same time, we are mindful of the finite life of this fuel and that is the reason why you would have seen we have engaged the best advice. To take us forward on developing our efforts which are beyond Ignite. But at the same time. While we are developing these assets and it could take some time. We would be capitalizing on the assets that lie with us and ensure that they give full gain to the company and fuel our needs of capital, which would be needed to take us towards the next stage in the growth of the company. That is beyond fossil fuel. As far as I create is concerned, it's an autonomous body. Our relationship is broadly limited to our contribution in setting it up, it is run by an autonomous board. I think we're not the right people to comment there, but since I'm personally on the board. I see very good work being done there.

Alpesh Sheth: OK. So on continuation of the same thing means can we also derive some value from them in the future for the EV side or some towards green ?

Roopwant Singh: At the same time, we have our own institute which goes by the name of ISAM Institution for Center for Excellence in mining. We want to develop it so that it is. Besides the training institute, it emerges as solution provider to many of our needs. Hopefully in the coming 2 -3 quarters we should see

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movement there. At the moment we're looking for a good CEO. If you have a good CV , please ask him to contact us. We'll definitely look at it.

Alpesh Sheth: The only worry for that fossil fuel was something happened somewhere in 2018 -19 in Morbi. And we had suffered a huge production somewhere in the past.

Roopwant Singh: Yes, we are mindful we will not go mindlessly expanding. We will produce only that much what we can sell. We will expand our capacity but produce only what is required .

Moderator: Thank you. As there are no more questions, I now hand over the call to management for closing comments. Over to you Sir.

Roopwant Singh: I would like to thank all the participants for their insightful questions, and as always, it is a pleasure to know that there are people who know us so much better than us, and I mean in a way of complement, which helps us towards newer levels of awareness in improving and forming the company, yes. This year till now has been very good and.

Point to be noted is we have our PBT

figures have crossed the best ever results for an entire year in the history of the company, so this is a moment of great pride for the team working at the corporate office and each project which are currently running and towards those projects which are going to be set up and finally those projects which were left for the dead they are going to also be revived. So compliments to all of them and thanks to all of you.

Moderator: Thank you. Thank you all for being part of the conference call. If you need any further information or clarification, please e-mail to gaurav.g@conceptpr.com. Ladies and gentlemen, this concludes your conference for today. Thank you for using Chorus call conferencing services. You may now disconnect your lines. Thank you and have a pleasant day.

Call: Aug 2023

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Dear Sir,

Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call

We had vide our letter dated 7th August , 202 3 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Mee t on 9th August , 202 3 at 4.00 PM IST through audio Conference Call.

We send herewith a copy of Transcript of the said conference call which took place on 9th August, 2023 . The said transcript , along with the audio file link, is also uploaded on the Com pany's website i.e. www.gmdcltd.com .

You are requested to kindly take note of the same on your record.

Thanking you,

Yours faithfully,
For Gujarat Mineral Development Corporation Limited

Joel Evans
Company Secret ary

Encl : As above

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Gujarat Mineral Development Corporation Limited
Q1 FY'24 Earnings Conference Call
August 9th, 2023

Management :

1. Shri Roopwant Singh, IAS – Managing Director
2. Sri L. Kulshrestha – Chief General Manager and Chief Financial Officer
3. Shri H.K. Joshi – Senior General Manager (Technical)
4. Shri A.K. Makadia – Senior General Manager (Technical)
5. Shri R. K. Das – General Manager (Marketing and Sales)
6. Shri Swagat Ray – General Manager (Project Planning and Development)
7. Shri A. K. Iyer – General Manager (Accounts)
8. Shri J. N. Dave – General Manager (Power)
9. Shri P.R. Shah – General Manager (Geology)
10. Shri A.K. Sharma – Advisor (Cement)
11. Shri. Joel Evans – Company Secretary

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Gujarat Mineral Development Corporation Limited
Q1 FY'24 Earnings Conference Call
August 9th, 2023

Moderator: Good afternoon, ladies and gentlemen. I'm the moderator for this Conference. Welcome to the conference call of Gujarat Mineral Development Corporation Limited arranged by Concept Investor Relations to discuss its Q1 FY'24.

We have with us today, Shri Roopwant Singh – IAS, Managing Director ; Sri L. Kulshrestha – Chief General Manager and Chief Financial Officer; Shri H.K. Joshi – Senior General Manager (Technical); Shri A .K.Makadia – Senior General Manager (Technical); Shri R. K. Das – General Manager (Marketing and Sales); Shri Swagat Ray – General Manager (Project Planning and Development); SmtA. K.Iyer – General Manager (Accounts). Shri J . N. Dave – General Manager (Power), Shri P.R. Shah – General Manager (Geology); Shri A .K. Sharma – Advisor (Cement); and Shri. Joel Evans – Company Secretary.

At this moment, all participants are in the listen -only mode. Later we will conduct a question -and-answer session. At that time, if you have a question, please press star and one on your telephone keypad. Please note this conference is being recorded.

I would now like to hand over the floor to ShriRoopwant Singh – Chairman and Managing Director. Thank you and over to you, Sir.

Roopwant Singh : Thank you, Gaurav. We welcome all our friends through this Analyst Call. And we look towards fruitful and engaging discussion today. And this meet is after almost a gap of six months, so there are issues to share and you have questions to ask. Thank you so much. We may begin.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead, Sir.

Pritesh Chheda: Yes. Thank you for the opportunity, Sir. Sir, can you give some colour on the realizations in the lignite side in quarter one this year, quarter four last year, if you could end the trend here?

Roopwant Singh: So, any other question?

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Pritesh Chheda : My second question is what kind of volumes all do you expect in lignite for FY'24?

Roopwant Singh: Okay. Can I have your name please?

Pritesh Chheda : My name is Pritesh. I'm from Lucky Investment.

Roopwant Singh: I would request Mr. Das to take the question on realizations from lignite.

R. K. Das: Hi, Pritesh, this is R. K. Das , General Manager - Marketing and Sales. And answering your first question that the realization for quarter one is close to 3200. And earlier it was during last year it was around 4000. And regarding the volume, we are trying to surpass the last year's

productions. We are targeting around 8 million metric tons for this year.

Pritesh Chheda : And the realization for quarter four?

R. K. Das: The realization for quarter four was close to 4000.

Pritesh Chheda : Okay. One more question is around the volume side. If I recall, last year we were looking at 8 and was supposed to then go to about 10 million tons. I understand that last year there were rains and some mine issues for which the volume never reached it. But this year's 8 million ton number, so what happens to that 10 million ton guided or thoughtful number that you had.

R. K. Das: So, actually, we are facing certain technical issue at one of our major projects in South Gujarat. And another project at South Gujarat is on the verge of completion. So, those are the challenges. So, nevertheless, we are targeting items. We're pretty confident that we can achieve this 8 million target this year.

Moderator: Thank you. Our next question is from the line of Harsh Vasa from SBICap Securities. Please go ahead.

Harsh Vasa: Thank you for providing me the opportunity. Sir, actually I wanted to know the story regarding rare earth materials. So, when do you expect the

unlocking of that?

Roopwant Singh : Okay. Harsh, any other question?

Harsh Vasa: And secondly, Sir, you were bidding for the coal mine for Gujarat like where there is a reserve of around 1700 million tons and you're going to incur like around INR 5000 crores on the CAPEX part. So, any development on that side?

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Roopwant Singh : Okay. So, I'll answer the second question first. The coal mines are not in Gujarat, they're in Odisha. And GMDC has already secured these two blocks. And CAPEX of 5000 will be over a lifetime period of the mine. Yes, the significant amount will be going upfront. And GMDC now is in active stage of operationalizing these mines. For that studies, permissions and organizational setup is being put on fast track. And for the RE story, we will let you know as we get some clearance and as it's the regulated sector, we will let you know at the appropriate time ourselves. Please bear with us.

Moderator : Thank you. A reminder to all participants, you may press star and one to ask a question. Our next question is from the line of Dipen Shah, an individual investor. Please go ahead, Sir.

Dipen Shah : Good evening and thank you for the opportunity. I had a couple of questions. Firstly, on the overall CAPEX, which you have planned for the current year as well as the next year, I understand rare minerals CAPEX also will be incurred. So, if any ballpark figure is there then you can give us that number. And the second number is as far as the coal mine is concerned, what is the capacity of the coal mine and when do you expect revenues to start accruing to GMDC? Thank you.

Roopwant Singh : Okay. I missed your name. Can you have your name please?

Dipen Shah : Dipen Shah.

Roopwant Singh : Thank you, Dipen. So, I'll take the second question first. Operationalization, we have a four-and-a-half-year timeline in which we have to operationalize both these blocks. One is in Angul district and one is in Sundargarh district. Their accumulated annual capacity is significant, large. It is in the range of 21 million to 23 million tons depending on our downstream market tie up that we do. And as I had answered in the previous question, we are in the advanced stages of operationalizing. So, the entire effort of the top management is to crunch this 4.5 year timeline to as shortest as possible.

Dipen Shah : Okay.

Roopwant Singh : And for the lignite, I would request Mr. Swagat Ray to take that question. Could you repeat the question on lignite, please?

Dipen Shah : I just wanted to understand what's the kind of CAPEX you are likely to incur on the lignite business as well as if at all any on the rare earth minerals.

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Roopwant Singh : Okay. Rare earth we will recuse ourselves from answering, but for lignite, Mr. Swagat Ray will give you a very good answer.

Swagat Ray : For lignite operation in this financial year particularly in FY '24 we have major CAPEX planned towards land acquisition. And land acquisition will be done in existing lignite projects particularly in Bhavnagar. And for the other new projects that is Lakhpat as well as in Bharuch that is Valia's lignite project. So, we are more in the INR 800 crore rupees for this fiscal year for the new lignite project land acquisition and around INR 650 crore for the existing lignite

project in Bhavnagar.

Dipen Shah : Okay. And Sir, one last question. What should be the cash balance with the Company currently as in June?

Roopwant Singh : So, I request Mr. Kulshrestha to answer that question.

L. Kulshrestha : At present we are having 2000 cash flow, INR 2000 crore.

Dipen Shah : Okay. Thank you very much and all the very best.

Roopwant Singh : Thank you so much.

Moderator : Thank you. Ladies and gentlemen, you may press star and one to ask a question. Our next question is from the line of Nalin Shah from NVS Brokerage. Please go ahead.

Nalin Shah : Hello. At the outset let me congratulate the management for continuing to maintain the good progress on the Q1 results. My questions are couple of questions. One is that since you know the lignite prices have taken a little bit in the realization, so our profitability could be little under pressure compared to the previous year. So, how do you propose to maintain or matter that profitability? If you can throw some light on the last year, we had discussed about that you are readying for a bauxite as a major material and that some contribution in the current year, how that is going to span out if we can get some idea what are the volumes and what are the pricing and what kind of a profitability and margins we do we maintain from that, that would be ideal.

Secondly, you mentioned about that coal mines you are trying to cut down the timelines from four and half years to as early as possible. But if you could throw some idea that internally what is the target, whether it is from the financial year FY24-25 or FY25-26 or what is the

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ideal kind of a thing and on the overall performance of the Company going forward in the current year?

Roopwant Singh : Okay. So, I'll begin with answering your last question for the coal mines. It is contingent on two factors. One is a number of studies have to be done. Number two, we still have to get a lot of regulatory approvals. And these are the two proximate things and our capacity play how fast we ramp up will depend on our long-term off take agreements. So, all these things are work in progress. And we shall be able to answer this. How much the timeline would be crunched? In two to three quarters from now we expect to have a lot of tasks covered under our belt.

For lignite pricing, I would request Mr. Dasto give you a view on the pricing and Mrs. Anupama Iyer to give you an idea on the kind of profitability we'll be looking at. But the broad strategy of the organization is we are facing challenges on two sides. One is the declining price of our rival material that is imported coal and serious operational issues at the slower mines restricting our capacity. So, the first is beyond our control. So, we will keep on correcting our prices but focus on offtake. And at the same time, since the market is slightly softened, we would work on our capacity to what it was one and a half to two years ago. So, I hand over the phone to Mr. Das to give you a flavor of a few numbers.

R. K. Das: Hi, Nalin. As mentioned by MD Sir, actually the imported coal prices have fallen down and it deals correctly very fast. But I believe that during the last, right from June till time, the (Inaudible) prices are fairly stable. So, in that case, it is our presumption that the prices will not fall down further. Nevertheless, we used to supply in Gujarat market subsequently with respect to the prices, landed prices of the imported coal in the PSU. So, in that case, if there will be any corrections, they're bound to take corrections. And at the same time, during last few days we have taken certain corrections. And if required then more corrections can be undertaken on an individual project basis or on overall GMDC's I mean, to say that in all projects or in individual projects.

Roopwant Singh : Anupama, can you give us flavor?

Anupama Iyer : As we told if we have to take the price correction, no doubt profit compared to last year will be end up with under pressure. But then also we'll try to make it by expanding our capacity. So, it actually depends on how the market behaves. If the price of imported coal comes down, definitely we have to take the correction and accordingly profit will be since our margin will shrink accordingly.

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Nalin Shah : Okay. But are we in a position to I mean balance it out with bauxite and maybe some other minerals which you might have in mind?

R. K.

Das: Yes, of course there is a plan to ramp up this bauxite business because during last year the production was 2.54 lakh metric ton and this year we are targeting to multiply at least two

times from this last year 's production so t hat we are targeting to actually produce and sale

more than 5 lakh metric tons of bauxite this year. That 's an aggressive plan indeed. But again, to be very realistic, actually the contribution of bauxite sale to the revenue is to the -- that is in single digit figure. So, in that case that will not significantly add to our revenues in this year.

Moderator : Our next quest ion is fr om the line of Shashank Kanodia from ICICI Securities . Please go ahead.

Shashank Kanodia: Sir, first thing is realization. So, do you expect realizations for the full year to be below INR 3000 to a ton i s my first question, g iven the fact that you alluded to this fact that they are on the downward trajectory.

Roopwant Singh : Yes. Any other question, please?

Shashank Kanodia: Yes. Secondly Sir, on the CAPEX part, you alluded to this fact that we will be spending INR 1450 crores for lignite but I think we are also due to spend something on the power plants as well as pool money in Odisha . So, in sum total, what will be the total CAPEX outlay? And thirdly Sir, the govern ment has recently passed this M ines and M ineral Bill right, which opens results there it's mining to the private operators as well. So, in a way that kinds of takes away exclusivity . So, in a way, is it something whic h is negative that we perceive?

Roopwant Singh : So, I'll start with the second question, the CAPEX plan. GM DC in this financial year has o n April it's most ambitious a nd aggressive CAPEX plan ever. And this is in the range of INR 2900 crores. O ut of this significant amount is going towards the ramping up cap acity in our existing projects in Bhavnagar then ramping up capacity in our existing project Tarkeshwar . Then further to ta ke care of new mines and most p rominently Lakhpat and Valia, which have recently been granted to us. Further, there is a INR 300 cror e CAPEX on putting the ATPS, our thermal plant, power plant back on track . And finally, there is INR 400 crore CAPEX , approximately INR 400 crore CAPEX to both the O disha project on track. So, this is the most ambitious CAPEX plan. As far as realizations, I wou ld again request Mr. Rajat Dasto give you a flavor. Yes, it is a very complicated question to answer and we don 't know how the future unfolds, but we ha ve certain scenarios in mind. M r. Das, if you would like to answer this?

R. K. Das: Hi. It will be quite speculative and premature to actually predict whether this realization will go below 3000 or not. But again, the international coal prices are quite volatile and the prices

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are quite dynamic. But as I said earlier, ever since June 2023, the (Inaudible) prices are stable. And generally, the demand used to b e subdued during monsoon periodhere and internationally. So, in that case, I believe that the demand will be pushed during subsequent quarters a nd there will be an upward rise in the prices and I believe that the prices of international coal that is at its rock bottom. So, in that case, in my personal capacity, I believe that the realization will remainclose to 3000. But again, it will be quite difficult and speculative to answ er in a very specific and objective manner.

Roopwant Singh : And I 'd like to answer on the recent amendment. Well, I mean it 's a more broad -based amendment covering critical minerals and it is a welcome move to take care of t he new economy and issues t hat the nation is going to face. So, it's a wonderful development. A nd as far as the GM DC play is concerned, our play is in the minerals which are slightly different from the minerals being covered there . But then again, more specifics as we are in a b etter position to sha

re with you.

Shashank Kanodia: Just one thing on the lithium side, so we got in India two users, one in J& K and second in Rajasthan. So, are we actively looking at those exploiting those or this is something not there on the table for us?

Roopwant Singh : So, GMDC has adopted an open mind policy towards exploring business opportunities in adjacencies t hat means what it does well. So, we have moved out from lignite, moved beyond lignite to coal and we are in the metal space also. A nd if this resource gets available in the market and we will definitely be looking at examining each and every opportun ity on the table in the market. And we have a very thorough system of internal and external checks before we take a plunge. But I can assure you we will be looking at all opportunities that come up.

Shashank Kanodia : Thank you so much and wish you all the best .

Roopwant Singh : Thank you so much.

Moderator: Thank you. Our next question is from the line of Siddhant Shah from Corporate Database . Please go ahead Sir.

Siddhant Shah : Thank you for taking my question, Sir. I had a couple of questions. One is like you mentioned that you are going to be spending INR 300 crores on the thermal power station. So, just wanted to kn ow by when can we expect a turnar ound in that, that is one. T he other was sorry , I missed the opening remarks, s o I don 't know if you shared that. Any volume guidance for the lignite since we were targeting 10 million tons for last year, but we fell short and we were trying to make t hat up this year. So, any lignite volume numbers for this year. An d also

like somebody previously mentioned bauxite, we also had a lot of limestone and some of the other materials. So, broadly you had given guidance previously that we are looking to have at least 50% of our revenues coming from non-lignite sources.

So, just wanted an overall view like how are we progressing on that front and any possible revenues from these other sources this year since of course lignite realizations are under pressure and we are working on coal mines. But however, these other minerals that we have, can we expect anything from there? So, these are the few questions. And just lastly, a little bit on the capital allocation policy since Gujarat government has come out with a policy mandating

30% of PAT and 5% of net worth as dividends. So, just in terms of broad capital allocation policy at the Company level since we have INR 2000 crores of cash on books and we are expecting to do a INR 2900 crore CAPEX. So, just a broad if you can just share some color on how we are planning to use our cash reserves that would be great. Thank you.

Roopwant Singh : Siddhant, I think in the previous answer I gave a very detailed answer on how we are planning to use our cash reserves. So, for everybody's benefit, I would not repeat it. But what I would like to say is again, the Government of Gujarat's dividend policy is very visionary for a Company which is on a growth path and which is exploring new revenues like us. Because we are at the moment a debt free Company and to achieve our growth, we would need to take on debt and other issues. And when we have a very mature and robust dividend policy like the one by the Government of Gujarat, we will be able to fulfill on those parameters. Your third question was on limestone. I would request Mr. Arun Sharma, who has been spearheading this initiative, he will explain to you in greater detail. And I wish you had glanced through yesterday's Business Daily. Over to Mr. Sharma.

Arun Sharma : Hi, Siddhant. See, regarding limestone, what our MD Sir has told, we have been working for the last year and we have done a lot of homework. We have identified our deposits. We have done a feasibility report. And yesterday we have launched a nationwide UI for one of the project wherein we are looking for par

tners and how we can develop this limestone deposit. I

can only tell you that the deposit has a potential and that potential would be one of the largest in the country at one particular location. So, we are very serious on that. Already we have done our homework. We are in the market and we are looking for partners and the strategic alliance how to utilize this limestone. I think within three to six months in one or two quarter we'll have clarity and then we will explore further and we'll let you know. Thank you.

Roopwant Singh : And for the question on INR 300 crore CAPEX for which we will be getting a pass through from the regulatory authorities and for which we shall be raising debt also, I would request

our General Manager (Power), Mr. Janardan Dave give you a flavor of that are underway and by what time it should be possible.

Janardan Dave : Hi, Siddhant. For the CAPEX in the power plant, we have already identified the five packages for the execution of this CAPEX. And for that our RFP are in online and one of the RFP like the BMC, we are in final stage. And in the last quarter 50% of the CAPEX will be utilized and remaining will be utilized in the first quarter of next year.

Siddhant Shah : Okay. Got it. So, the improvements will be basically visible only basically towards the end of FY'25.

Janardan Dave : In the second quarter, between '24 and '25. Siddhant the issue is most of these are proprietary items and most of these suppliers are not in India and it is a seller's market and they have a extremely large lead time. So, that is where we would have liked to compress this entire thing into a very short time but it is going to take some time. Immobilizing the spares and whatever is required there.

Siddhant Shah : Got it. Just needed one clarification, Sir. You told that the cash and the current balance is currently around INR 2000 crores. I remember in the previous call; you had mentioned that it was around INR 2500 crores. So, just wanted to know if you deployed any CAPEX this year and what would be the FY '23 CAPEX that we would have had done?

Roopwant Singh : So, Mr. Kulshrestha, kindly take this question on the cash available.

L. Kulshrestha: We have budgeted some amount for Odisha two projects Baitarani (West) and Burapahar that is around INR 350 crore. The remaining amount we are incurring for land development and civil works.

Siddhant Shah : Sir, just one request, if you could just keep the con calls after every results, that would be great, since we are having calls very abruptly or intermittently. It would be great to have calls if you could have a call after every result, it would be a good chain to follow.

Roopwant Singh : Siddhant, point validly noted. Two errors on our side. We didn't meet the last time and this time also we did not give you a lead time. Apologies for that. This will be taken care of.

Moderator: Thank you. We have a follow up question from the line of Shashank Kanodia from ICICI Securities . Please go ahead , Sir.

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Shashank Kanodia : Yes. Sir, if you can please share the volume numbers for this quarter in terms of the materials and the corresponding figures for quarter -on-quarter and YoY basis .

Roopwant Singh : Volume numbers and ?.

Shashank Kanodia : Yes, and the corresponding numbers, Sir, for Q1 FY'23 and Q 4 FY'23 .

Roopwant Singh : Okay. So, who would like – Mr. Das, why don't you take this question? Volume numbers compared to previous quarters and previous in actual year.

Rajat Das: The lignite products on during quarter one corresponding quarter of 2022 -2023 was 25 lakh metric ton and this time it is 19.2. And this time it is actually it is 88 cubic.

Roopwant Singh: Shashank , could you re phrase the question once again?

Shashank Kanodia: I wanted the volume numbers lignite sales volume for this quarter that is Q 1 FY'24 and corresponding numbers for YoY and quarter -on-quarter comparison.

Roopwant Singh: Okay. So, I would request Mr. Kulshrestha to take this call.

L. Kulshrestha : As far as the total quantity is concerned from Mata -No-Madh strategic production was 9.82 lakhs in Q1. Last year it was 10.04 lakh metric tons. And in case of Rajpardi -.

Shashank Kanodia: I will need some total for all mines as a Company level.

L. Kulshrestha : Sum total is 18.28 lakh metric ton as agreed 25 lakh metric ton in previous years in same quarter.

Shashank Kanodia: So, 19.2 lakh tons of sales volume versus 25 lakh tons last year.

L. Kulshrestha: 18.28 lakh tons as well as 25 lakh ton in previous Q1, previous year Q1.

Shashank Kanodia: So, the increase of approximately 27%.

L. Kulshrestha: Decrease.

Shashank Kanodia: Decrease. And Sir, does rains -- there was some insistent rains in Gujarat, right? And there were some coastal disruptions as well. So, did it impact us for the month of July?

Roopwant Singh: Yes, it did. And I would request Mr. H.K. Joshi to take this call. For the month of July, Mr. Joshi, how it impacted and how heavy the rains were?

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H.K. Joshi : Actually, in July we have received almost 40% more rains than last year .This year we have rain in July 30% more than last year. So, it impacted our lignite production.

Roopwant Singh: And may I add, it impacted our generation from our wind turbines also because of severe cyclonic disturbances.

Shashank Kanodia: Sir, one small request sir. You used to share these volume numbers and power generation units in your press releases. I think this time it was missing. So, if you could please recontinue that practice please.

Roopwant Singh: Okay. I don't know how this has happened but we can share it with you now.

Mr.Kulshrestha would you like to give numbers for the thermal and wind when the predominantly both of these .

L. Kulshrestha: In Q1, we have generated 140million units as against 235 million unit in last year in same quarter. And as far as zinc project our generation was 105 million unit as against 118 million unit in last year. As far as solar, we have generated 1.8 million units against 1.96 million units in Q1 of last year.

Shashank Kanodia: And sir, lastly, you have charted out this very basic CAPEX plan. So, what is the IRR or the payback period that the management keeps in mind while putting out such CAPEX symbol?

So, it's like five years, four years you wish to get back this amount in terms of profit ability, how do you look at it?

Roopwant Singh: Shashank, each project and subproject has different internal rates of return. Well, I can talk about the prominent ones. The rate of return for existing projects is extremely promising .

Some are in the range of 30 %, some are in the range of 40%. For the coal projects, they are in excess of 20% since that is a new territory for us we have taken conservative numbers. For our new project , lignite projects, those numbers again are in excess of 30%. So, we are very comfortable. A lot of thought and diligence has gone into it. And being a mining Company , CAPEX will ensure growth. Without CAPEX , we will start floundering.

Shashank Kanodia: So, the minimum threshold what I gather is to be 20% for us right before commencing of any CAPEX plans.

Roopwant Singh: So, at the moment we don't look at opportunities which are below 15% and the projects that we have made CAPEX provision, they are fairly comfortably above that.

Moderator : Thank you. Our next question is from the line of Rahil Shah from Crown Capital. Please go

ahead, Sir.

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Rahil Shah: So, you've given volume target for this year and everything. So, based on all this CAPEX and the new projects coming up, what can one expect in terms of revenue growth and especially what are your expectations for EBITDA margins for this year?

Roopwant Singh: We

ll, if we told you that then we'd be in trouble. But I would request Mrs. Anupama Iyer to give you a flavor on volumes, revenue and the kind of comfortable EBITDA we should be in the range of.

Anupama Iyer : Yes. Regarding EBITDA, we hope to maintain the EBITDA margins of around 30% in our business. And by expanding the volume we hope we'll be able to achieve a turnover of last year around 3500.

Rahil Shah: For the margins you said 30%, correct? That was like overall for the Company or just -.

Anupama Iyer : Yes.

Roopwant Singh : For lignite business.

Anupama Iyer : For all Company . As Company as a whole 30% margin, we'll be able to maintain.

Rahil Shah : Right, okay, no problem. Thank you and all the best.

Moderator : Thank you. Ladies and gentlemen, that brings us to the end of our question and answer session. I would now like to hand the conference over to the management for closing comments.

Roopwant Singh: Thank you so much. Well, we have said what we had to say about volumes, margins and our core plans and that we have received very important feedback on how we need to continuously keep on engaging with you. Yes, we will continue the process of meeting every quarter. And yes, we will not convene these conferences at short notice. Point taken. Thank you so much for your interest.

Moderator : Thank you all for being part of this conference call. If you need any further information or clarification, please email gaurav.g@conceptpr.com. Ladies and gentlemen, this concludes your conference for today. Thank you for using Chorus Call Conferencing Services . You may now disconnect your lines. Thank you and have a pleasant day.

Call: Jul 2024

Gujarat Mineral

Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206 "Khanij Bhavan", 132 Ft. Ring Road, Near University Ground, Vastrapur, Ahmedabad 52 Phone: 2791 3200/2791 3501

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No. GMDC/CS/NSE/BSE/2024 Dt. 02.08.2024 To, BSE Limited PJ. Towers, Dalal Street Mumbai-400001 Script Code: 532181 To, National Stock Exchange of India Ltd, Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai -400051 Script Code: GMDCLTD Dear Sir/ Madam, Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call We had vide our letter dated 29th July, 2024 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 30th July, 2024 at 4.00 PM IST through audio Conference Call. The link for Audio file of the conference call was intimated to Stock Exchanges on 31/07/2024. We send herewith a copy of Transcript of the said conference call which took place on 30th July, 2024. The said transcript, along with the audio file link, is also uploaded on the Company's website i.e. www.gmdcltd.com. You are requested to kindly take note of the same on your record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited (Joel Evans) Company Secretary Encl : As above
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Management: 1. Shri. Roopwant Singh, IAS, Managing Director 2. Shri. R.K. Dash - GM, Marketing and Sales 3. Shri. Swagat Ray - GM, Project Planning and Development and PRO 4. Shri. A.K. Sharma - GM , Power 5. Ms. A K Iyer - GM Accounts and CFO

Gujarat Mineral Development Corporation Limited Q1 FY '25 Results Conference Call"July 30, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Gujarat Mineral Development Corporation Q1 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat from Perfect Relations. Thank you, and over to you, ma'am. Mamta Samat: Thank you, Yusuf. Good evening, and thank you all for joining us on the Gujarat Mineral Development Corporation Limited Q1 FY '25 Earnings Conference Call. Today, we have with us the senior management represented by Shri. Roopwant Singh, Managing Director; Shri. R.K. Dash, General Manager, Marketing and Sales; Shri. Swagat Ray, General Manager, Project Planning and Development and PRO; Shri. A.K. Sharma, General Manager, Power and Smt. A K Iyer, General Manager, Accounts and CFO. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. As you are already aware that the Q1 FY '25 results are in public domain, so we will have the forum open for the interactive Q&A session. Over to you, Yusuf. Moderator: First question is from the line of Amit Dixit from ICICI Securities. Please go ahead. Amit Dixit: Yes. Very nice to interact with you, sir, after a long time. So I have a couple of questions -- sorry, 3 questions to be precise. The first one is on if you could let us know your volume target for FY '25 and FY '26, given that now Tadkeshwar is back and we see a good amount of coal production from there? The second one is essentially on -- we have been recently been declared as a preferred bidder for the coal mines in Odisha. So just wanted to understand the rationale going in Odisha and overall operations in Gujarat? And the third is essentially the progress around multi metals and Rare Earth project? Roopwant Singh: Thank you, Amit. Very quick answer. Current year, we should be in excess of 9 million. And the year thereafter, we would like to improve on that. This is deployed targets. Coal blocks are the natural extension for a company which does very well in lignite. A significant part of our senior management team is trained in coal. And these blocks were taken after evaluating the opportunities nationally and Odisha offers the best opportunity for GMDC and hence, these blocks. These blocks are in an advanced stage of development, and we plan to see groundbreaking in the next financial year -- early next financial year. Multi-metal project has been activated. We have to get a few clarifications on the regulatory side and then we would be rolling out RFPs for mine development and operations, hopefully, towards the end of this financial year. On the Rare Earth, GMDC has been nominated by Government of India as the agency to take the Rare Earth Project in Ambadongar forward. Further, GMDC has also received a letter of communication, making it the preferred allottee and to take this project forward. Thank you.

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Amit Dixit: Just very quick follow-up on my -- 2 follow-ups to be precise. The first one is on Odisha. So can -- since now we have a standard as of footprint out of Gujarat or is there a possibility that we will further look for any such coal blocks in Odisha or maybe lignite blocks elsewhere in the country? And the second one is potentially when can we expect the commencement of production from multi metal or Rare Earth? If you can give a T plus some year time line that could also suffice. Roopwant Singh: Okay. GMDC is a

lways open to all good business opportunities that open up. At the moment, there is further good news. After the 2 coal blocks in Odisha, we have backed our third coal block in Odisha by the name of Kudanali-Lubri. This is an unexplored block, which will require an year of exploration, slightly more than any year of exploration. So those actions are going to be activated. So that probably answers your first question. Multi-metal project is, again, involves a 2- to 3-year intense exercise. You should see significant progress there. Hopefully, we'll have clarity by the end of this year. On the Rare Earth side, we are looking at a 3-year horizon. Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: Yes, sir. Sir, I would like to understand GMDC from 2 perspectives. One is from what I've heard over the last many months, there seems to be some sort of an internal transformation that's going on at GMDC where you have a blueprint to make GMDC into a different sort of a company, not just on lignite and this thing. So if I view these 2 different -- the current base business of lignite, if I take it with a 3-year view, is there some sort of guidance that you can give us that we want to be on the basic business at the moment. And then the rare earths and the multi metal is more

of an optionality because as you mentioned, it's a 3-year project, and cash flows will probably start coming in from the fourth, fifth year onwards. So I'm trying to understand the current business, what it could be over the next 3, 4 years. Roopwant Singh: So our transformation is underway, and the company has prepared a very robust growth plan till the end of the decade, by 2030. So the plan is a 4x growth plan. The core of the first lever would be our existing Lignite business because that is already activated, and that will give us the earliest returns. So by the end of this decade, you should see volumes in a year about 15 million tons from lignite in Gujarat. For the metals and the critical minerals side, a lot of work has already taken place and further a lot of work will be undertaken. These are not only economically remunerative projects, they hold more strategic importance for the nation also. Venkatesh Subramanian: Right, sir. So taking off from the lignite plans, sir, I know that it goes through price volatility. So when you assume internal growth plans and in terms of volume, what's the safe number or a range that you are looking at in terms of lignite pricing, say, in a very base case scenario, what's the metric ton because you people are the experts at it. What would be the best guide that we need to assume and what's the best case scenario we can assume in terms of price, sir? Roopwant Singh: So I'll answer it in a different way. What has changed in the past 2.5 years is lignite pricing has been developed as a response to our main competitor that is imported coal. So that is a bigger metric, which controls our prices. As you would have seen 2 years ago, we had good volatility there, and we were able to capture value only because of the strategic move. In the past year

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also, we were able to capture strategic value despite 2 of our mines closing down and one contract exhausted. So that is a good achievement that we can -- that we have worked on. Prices in terms of margins, while 2 years ago, the margins were in excess of 50%. They are now in the range of 30% plus. Then again, we expect these margins to continue, but we are not in the business of forecasting, but we do take forecasting views into consideration. The goal of the company is to focus on volumes, capture more customers and market, and the value would be a strategic decision. Venkatesh Subramanian: Right, sir. So would it be safe to assume that the current financial year, FY '25, we would be able to probably do a repeat of volumes of, say, FY '23, with an operating margin of 30%. I'm not going to hold you to this, but is it a reasonable estimate? Roopwant Singh: What I would say is we are targeting excess of 9 million tons, and the current margins you can assess from the first quarter. And one good news, this year, the company is pursuing 2 gold strategies. One of them is called Mission 18.0, and the second is Mission 2000. Mission 18.0 aims at targeting 18 lakh tons of sales of lignite in the monsoon quarter. This was -- this stood at barely 6 lakh last year. So this is an exceptional value unlock because in the monsoons, if we are able to sell something that is additional accrual to us. And Mission 2000 is to, again, take the number of our customers, active customers in excess of 2,000. Venkatesh Subramanian: Okay. So the monsoon quarter is actually the current quarter that you're talking about, sir? Roopwant Singh: Yes. And there is good traction and good movement by everybody there. Venkatesh Subramanian: Fantastic, sir. One more question, and I'll join the queue, sir. We are talking about lignite and then Rare Earths and multi-metals completed. Coal, when will you start giving us revenue, sir? Where do you see it coming in? Roopwant Singh: Overall, our larger mine, Baitarani-West, we are targeting a very aggressive groundbreaking in Q1 of '26. That mine has shipping ratio of only 1.5. So production would commence very quickly thereafter. Please wish us luck so that we're able to achieve these ambitious time lines. The second block will require some more work, so that will follow 1 or 2 quarters thereafter. Venkatesh Subramanian: Got it, sir. Got it, sir. So what's the capex... Roopwant Singh: Again, wish us luck on these aggressive time lines... Venkatesh Subramanian: Sorry, sir, I didn't get you... Roopwant Singh: Again, wish us luck on these aggressive time lines. Venkatesh Subramanian: Sir, our prayers are with you. Absolutely. What kind of capex are we planning for this year, sir? FY '25 and FY '26? Roopwant Singh: Capex plans are very ambitious. In excess of INR3,000 crores current year and for the coming 2 years also.

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Moderator: Next question is from the line of Shashank Jani who is an individual investor. Please go ahead. Shashank Jani: As we know that we are undertaking diversification under Project Shikhar and our major revenue comes from lignite. So what is the target that we are setting that the revenue will come from non-lignite sources? Roopwant Singh: Okay. I'll take all the questions first, and then I'll answer. Any other -- Shashank, any other questions you have, I'll take... Shashank Jani: No, sir. This is the only question that I have. Roopwant Singh: Okay. Okay. So this is a very big question. Project Shikhar is ambitious but very doable and very tangible. By the end of this decade, you should see our revenues being quadrupled. Of these revenues, a major share would come from, again, our existing business, lignite and coal, which you know very well. And the remaining would come from these new age critical minerals. In terms of realizations, they should more than triple by the end of this decade and their share of each of these 3 buckets, lignite, coal and critical minerals should be equal. So those are the ambitious plans laid out very simplified. Moderator: Next question is from the line of Shreyansh Jethwani from SG Securities. Please go ahead. Shreyansh Jethwani: I had a couple of questions. So the first one is when you bid on these coal blocks. So what kind of financial return metrics are we looking at? And is there any target that we have in terms of like minimum return on capital as such or any other metric that you look at while bidding? Just trying to understand on that front. And so my second question is since -- like I just wanted actually clarification, you

said 3,000 crores, would that be every year for the next 3 years? Or is it spread across 3 years? And from what the balance sheet -- is we would have to take on certain amount of debt or raise equity. So how are you looking to raise that? Do you have like certain financing options that you already are looking at? So just those 2 questions. Roopwant Singh: Okay. For the coal blocks, of course, we would like to capture as much value as we can. But under the board mandate, we will target a return of 15% and IRR, internal rate of return, of 15%. And in any contingency, we will never go below 12%. So that is the business model that we are working on. This capex for INR3,000 crores is over the next -- is INR3,000 crores -- INR3,030 crores this year. Next year, it would go to INR3,424 crores thereafter, again, INR3,000 crores and thereafter, again, INR3,000 crores. So till 2030, you should see a significant capex infusion. While we are doing this, there would be internal accrual of the earnings that we will be doing from our existing projects and early activation of coal projects. But in no case does our debt equity ratio

rise above 1%. So these are solid plans backed by serious numbers. Moderator: Next question is from the line of Saloni Shah from Ajmera Associate. Please go ahead. Saloni Shah: My question is, what is the current power generation capacity of Akrimota Thermal Power Station and post the PPA amendment, what changes can be expected? Roopwant Singh: Okay. Any other questions?

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Saloni Shah: No. Roopwant Singh: Okay. So ATPS, the Akrimota Thermal Plant has a generation capacity of 250 megawatts as you are aware. At the moment, the plant is not working. But by December, the overhaul should be completed. And that is the time when the advantage from revised PPA norms would kick in. So that we are able to capture these -- the advantage of these revised PPA norms, we have gone in for a comprehensive operation and maintenance philosophy, which is to be outsourced. And we have onboarded industry leader, a tier one industry leader, to take up these O&M operations for us. Hopefully, we should be able to capture some value in the last quarter of this year. But in the next year, this bleeding asset should turn out to be an income-generating asset for the corporation. Moderator: We have our next follow-up question from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: 2 questions. Just going back to the capex, assuming that we will do a INR3,000 crores capex this year or rather not assuming, as per plan. We will -- if things go well, sir, we should probably make a net profit -- I mean, I'm assuming the number again, INR800 crores to INR1,000 crores on a positive side. Then how do we have some cash reserves, I suppose, sir. How do we make this capex, sir, somewhere, if it's a debt to equity, it's going to be one is to one, how will it work it out? Roopwant Singh: Like I said, we have aggressive capex plans spread over the next 6 years, including the current one. In all scenarios that we have worked out, our debt equity ratio does not exceed one which I just said. Venkatesh Subramanian: Okay. So we just have to presume that we will have to -- we'll have a scope to increase profitability to that level approximately, yes. Roopwant Singh: I would not say anything there. But we would make a decent generous sum -- amounts of money during this period also. Venkatesh Subramanian: Okay, sir. And what are the current cash results that we have, sir, as on 30th June? Roopwant Singh: They would be slightly short of INR2,000 crores, but the exact number doesn't come to my mind. Venkatesh Subramanian: Okay, sir. Quick one. This power capacity, we have this 250 megawatts and this is going to be overhauled in December. How -- what is it that we can expect out of this

, how does it come in handy for us over the next 2 years? What -- does it produce cash flows for us? Roopwant Singh: Venkatesh, this plant is afflicted by a cyclical problem. Low -- poor PPA, which discouraged investment and which led to poor performance. So this entire cycle has been broken by the active support of the government of Gujarat, where the PPA has been revised, a significant capex has been allowed. And the company has onboarded best-in-class contractors to undertake the capex. And finally, a tier one contractor to steer this project towards profitability. So that is the plan. And in next financial year, you should -- and you should see a significant turnaround in the entire

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metric of this plant. The entire logic of pursuing with this plant is this plant has a plant base and a PPA life of 1.5 decades left. So GMDC will continue to capture positive value out of this, which it has not been able to do in the past decade and a half. Venkatesh Subramanian: Correct. Okay. Sir, and then in the initial -- for the first question, you answered that for critical minerals and rare earths, GMDC has qualified as one of the top 2 or 3 agencies to carry out this work. What does this exactly mean, sir? How many of -- how many -- what is the number of people in the club. So for example, I think Coal India was talking about it, of course, GMDC is here, NMDC is there. Do we -- are we part of a club of, say, 5 or 6 agencies that have been selected by the government? And is there anything exclusive to us, say, any particular geographical areas, whether it is J&K or Rajasthan or something? Roopwant Singh: I'm sorry. I think there must have been some misunderstanding. This project is being pursued by GMDC on its own. And to kickstart this project, critical minerals that is rare earth, we are going to go alone. And while we are -- we keep our ears and eyes open to other opportunities, which could make this project more attractive. As for the other strategic mineral that is concerned to the copper assets that GMDC already owns, and the challenge is only in operationalizing it since it is an underground asset. So there is some complexity, hence the delay. Venkatesh Subramanian: Okay. We will get to know more about that in the next con call, sir, on the copper assets monetization? Roopwant Singh: Yes, hopefully, so. Yes, there should be a movement in the coming quarters. Venkatesh Subramanian: Okay. Sir, and GMDC, in the balance sheet, so I'm looking at a few cross holdings that we have in other Gujarat PSUs, since we have a need for funding over the next decade, and we have some ambitious plans. Would you look at divesting some of these assets across holdings. Roopwant Singh: We would be open to all ideas. Moderator: Next question is from the line of Rishikesh Oza from ROBO Capital. Please go ahead. Rishikesh Oza: So my question is with respect to the capex. The INR 3,000 crore capex that we are going to do this year is majorly towards lignite? Roopwant Singh: Yes, please. Rishikesh Oza: Okay. And... Roopwant Singh: Other questions, please? Rishikesh Oza: No, it was related to that only, that on FY '26 and '27 also, you are talking about INR3,000-plus crores of capex. So how that would be bifurcated into different projects? Roopwant Singh: So the lion's share of this capex would be consumed by new lignite projects while we would continue to serve the needs of our existing lignite projects and a significant amount would go towards operationalizing the Odisha coal blocks, and finally, into our critical minerals for it.

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Rishikesh Oza: How much capex are we going to do for the coal blocks? Roopwant Singh: In excess of INR1,700 crores spread over some time. Venkatesh Subramanian: Hello, Yusuf? Moderator: Yes.

Venkatesh Subramanian: Can I ask a question, sir? Moderator: Who is this, please? Venkatesh Subramanian: This is Venkatesh of Logictree. Moderator: Yes, Venkatesh. Venkatesh Subramanian: Yes. So one last question. So I think we're talking about the underground copper blocks and which we are trying to extract out of. Can you give us some sense of what kind of deposits or volumes do we have, sir, in terms of copper? Roopwant Singh: Okay. So this would classify as a multi

metal-based deposit, which has copper, lead, zinc. The principal value driver is copper. That would be in the range of 1.5% to 1.75%. But the total metal content, that is the sum of all these 3, is in excess of 10%, which makes it one of the best assets in the world. And the mine has an estimated mine life of anywhere between 15 to 22 years. So that is the asset for you.

Venkatesh Subramanian: Okay. And extractable volumes, sir, approximately? Roopwant Singh: Extractable volumes.

Actually, as we extract more, we would need to explore more, there is an optimistic hypothesis that these reserves would rise significantly as we operationalize the mine. Venkatesh Subramanian: Okay, sir. Okay. I think I'll take this separately with you.

So can I reach out to you over an email, sir, for a more in-depth... Roopwant Singh: So in terms of margin, this project has a very comfortable margin of -- in excess of 40%, 41%. So returns are very good here. The challenge is in operationalizing this underground mine. Venkatesh Subramanian: Do you have any time line on this, sir, internally that you want to operationalize, say, some particular year or date or so? Roopwant Singh: We would be in a -- some studies are going on, we would be able to say this with more certainty by the end of this financial year.

Moderator: Next question is from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: So my question is that GMDC would approve INR3,041 crores capex plan for FY '25. Can you throw some light on the capex utilization so far?

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Roopwant Singh: Capex utilization for the current financial year? Kirti: Yes, sir. For FY '25. Roopwant Singh: Okay. Ma'am, this is -- most of this capex is towards land acquisition. So when it will happen, it will happen in very short bullets. At the moment, the only traction that we have on capex is for our existing Bhavnagar asset. It is going to be a great value and volume driver for us in the current financial year. And hopefully, for the next years while we undertake these ambitious plans.

Kirti: Okay. And also considering the new coal mines awarded in Odisha, our efforts of increasing the thermal power generation, will there be any further capex requirement in the near term? Roopwant Singh: I didn't follow that question, Kirti, for Odisha? Kirti: Yes, yes. So considering new coal mines awarded in Odisha, in the efforts of increasing the thermal power generation to which -- wanted to know in the earlier future, is there any capex required for that in the near term? Roopwant Singh: As it has already come out in our disclosures, we have signed a memorandum of understanding with our peer company, which is the state power company, GUVNL. Jointly, we will develop -- we have resources enough to develop 4,400 megawatts of thermal power. So that will be developed in partnership with GUVNL where we would be taking care of operationalizing the coal blocks, and they will be taking care of putting the thermal assets. So these are significant plans. And for activating these blocks, like I said, we would be spending initially a capex of INR1,700 crores.

Moderator: Next question is from the line of Shashank Jani, an individual investor. Please go ahead. Shashank Jani: I actually wanted to ask our finance minister in the budget talked about critical minerals, the government is planning to have a critical mineral mining outside India and all the

other things inside India. So apart from the block that we currently have, do we see our company has been a beneficiary of the same? Roopwant Singh: Okay, Shashank, this will have -- although this will definitely have a positive sentiment on the moves that we are making on the critical mineral side. And our journey is very well chartered and very well thought out of plans have been made. The point is these strategies take some time to unfold and that is underway. Moderator: Next question is from the line of Varun from Fernandes corporation limited. Please go ahead. Varun: Sir, I wanted to ask you if you can kindly enlighten about your diversification strategy. As we understand, currently, the focus for GMDC is lignite. So can you throw some light on the critical minerals like copper, lead and bauxite. Currently, how much are our existing capacities, the current contribution to revenue? And what are the projections in production and revenue for FY '25 and FY '26?

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Roopwant Singh: Okay. Very heavy question, I'll just answer it very briefly. So while we are growing, we would need to diversify. So GMDC is going to keep on focusing on its core which is lignite and which contributes in excess of 90% of our revenues currently. So for the coming 2 to 3 years, you should see something like that continuing to happen. While GMDC knows lignite very well, so that gives us a lot of confidence to operationalize these coal blocks. To contextualize these coal blocks, how big they are, you know our volumes. We are currently chasing 9 million tons of lignite in Gujarat. The cumulative capacity of all 3 coal blocks in Orissa is 26 million tons per annum. So that is the point of quantum lease that we would be taken. And all of the coal will go towards securing energy security of Gujarat. Revenues and profitability, they -- for the coming 2 years, they would stay in the range -- they would be -- they will be very good, but they would be at a reasonable range. Thereafter, as this capex starts kicking in, you should see a gradual spurt. And by 2030, I have already shared, we have 4x revenue growth plans.

Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: I'm almost done with all the questions. Just a request, sir, on the website. If you can upload the latest investor presentation, that will be very useful for us, sir, for internal records. Roopwant Singh: Thank you for the advice. Moderator: We have our next follow-up question from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: Yes. Sir, you mentioned about Mission 18.0 and Mission 2000. Can you elaborate how GMDC intends to achieve this ambitious growth? Roopwant Singh: You're talking about Mission 18.0 and Mission 2000, current year? Kirti: Yes, sir. Yes, sir. Roopwant Singh: So Mission 18.0 is the target that we are chasing for Q2, the monsoon months. You should see good results there. And Mission 2000 is something that we see to complete over the year. Now that is more in terms of engagement. Our customer pool is much larger, but we want to have an even larger pool of active customers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. With that, we conclude today's conference call. On behalf of Gujarat Minerals Development Corporation, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Roopwant Singh: Thank you, Yusuf.

Call: Aug 2024

Gujarat Mineral

Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206 "Khanij Bhavan", 132 Ft. Ring Road, Near University Ground, Vastrapur, Ahmedabad 52 Phone: 2791 3200/2791 3501

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No. GMDC/CS/NSE/BSE/2024 Dt. 02.08.2024 To, BSE Limited PJ. Towers, Dalal Street Mumbai-400001 Script Code: 532181 To, National Stock Exchange of India Ltd, Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai -400051 Script Code: GMDCLTD Dear Sir/ Madam, Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call We had vide our letter dated 29th July, 2024 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 30th July, 2024 at 4.00 PM IST through audio Conference Call. The link for Audio file of the conference call was intimated to Stock Exchanges on 31/07/2024. We send herewith a copy of Transcript of the said conference call which took place on 30th July, 2024. The said transcript, along with the audio file link, is also uploaded on the Company's website i.e. www.gmdcltd.com. You are requested to kindly take note of the same on your record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited (Joel Evans) Company Secretary Encl : As above
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Management: 1. Shri. Roopwant Singh, IAS, Managing Director 2. Shri. R.K. Dash - GM, Marketing and Sales 3. Shri. Swagat Ray - GM, Project Planning and Development and PRO 4. Shri. A.K. Sharma - GM , Power 5. Ms. A K Iyer - GM Accounts and CFO

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Amit Dixit: Just very quick follow-up on my -- 2 follow-ups to be precise. The first one is on Odisha. So can -- since now we have a standard as of footprint out of Gujarat or is there a possibility that we will further look for any such coal blocks in Odisha or maybe lignite blocks elsewhere in the country? And the second one is potentially when can we expect the commencement of production from multi metal or Rare Earth? If you can give a T plus some year time line that could also suffice. Roopwant Singh: Okay. GMDC is a

lways open to all good business opportunities that open up. At the moment, there is further good news. After the 2 coal blocks in Odisha, we have backed our third coal block in Odisha by the name of Kudanali-Lubri. This is an unexplored block, which will require an year of exploration, slightly more than any year of exploration. So those actions are going to be activated. So that probably answers your first question. Multi-metal project is, again, involves a 2- to 3-year intense exercise. You should see significant progress there. Hopefully, we'll have clarity by the end of this year. On the Rare Earth side, we are looking at a 3-year horizon. Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: Yes, sir. Sir, I would like to understand GMDC from 2 perspectives. One is from what I've heard over the last many months, there seems to be some sort of an internal transformation that's going on at GMDC where you have a blueprint to make GMDC into a different sort of a company, not just on lignite and this thing. So if I view these 2 different -- the current base business of lignite, if I take it with a 3-year view, is there some sort of guidance that you can give us that we want to be on the basic business at the moment. And then the rare earths and the multi metal is more

of an optionality because as you mentioned, it's a 3-year project, and cash flows will probably start coming in from the fourth, fifth year onwards. So I'm trying to understand the current business, what it could be over the next 3, 4 years. Roopwant Singh: So our transformation is underway, and the company has prepared a very robust growth plan till the end of the decade, by 2030. So the plan is a 4x growth plan. The core of the first lever would be our existing Lignite business because that is already activated, and that will give us the earliest returns. So by the end of this decade, you should see volumes in a year about 15 million tons from lignite in Gujarat. For the metals and the critical minerals side, a lot of work has already taken place and further a lot of work will be undertaken. These are not only economically remunerative projects, they hold more strategic importance for the nation also. Venkatesh Subramanian: Right, sir. So taking off from the lignite plans, sir, I know that it goes through price volatility. So when you assume internal growth plans and in terms of volume, what's the safe number or a range that you are looking at in terms of lignite pricing, say, in a very base case scenario, what's the metric ton because you people are the experts at it. What would be the best guide that we need to assume and what's the best case scenario we can assume in terms of price, sir? Roopwant Singh: So I'll answer it in a different way. What has changed in the past 2.5 years is lignite pricing has been developed as a response to our main competitor that is imported coal. So that is a bigger metric, which controls our prices. As you would have seen 2 years ago, we had good volatility there, and we were able to capture value only because of the strategic move. In the past year

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also, we were able to capture strategic value despite 2 of our mines closing down and one contract exhausted. So that is a good achievement that we can -- that we have worked on. Prices in terms of margins, while 2 years ago, the margins were in excess of 50%. They are now in the range of 30% plus. Then again, we expect these margins to continue, but we are not in the business of forecasting, but we do take forecasting views into consideration. The goal of the company is to focus on volumes, capture more customers and market, and the value would be a strategic decision. Venkatesh Subramanian: Right, sir. So would it be safe to assume that the current financial year, FY '

25, we would be able to probably do a repeat of volumes of, say, FY '23, with an operating margin of 30%. I'm not going to hold you to this, but is it a reasonable estimate? Roopwant Singh: What I would say is we are targeting excess of 9 million tons, and the current margins you can assess from the first quarter. And one good news, this year, the company is pursuing 2 gold strategies. One of them is called Mission 18.0, and the second is Mission 2000. Mission 18.0 aims at targeting 18 lakh tons of sales of lignite in the monsoon quarter. This was -- this stood at barely 6 lakh last year. So this is an exceptional value unlock because in the monsoons, if we are able to sell something that is additional accrual to us. And Mission 2000 is to, again, take the number of our customers, active customers in excess of 2,000. Venkatesh Subramanian: Okay. So the monsoon quarter is actually the current quarter that you're talking about, sir? Roopwant Singh: Yes. And there is good traction and good movement by everybody there. Venkatesh Subramanian: Fantastic, sir. One more question, and I'll join the queue, sir. We are talking about lignite and then Rare Earths and multi-metals completed. Coal, when will you start giving us revenue, sir? Where do you see it coming in? Roopwant Singh: Overall, our larger mine, Baitarani-West, we are targeting a very aggressive groundbreaking in Q1 of '26. That mine has shipping ratio of only 1.5. So production would commence very quickly thereafter. Please wish us luck so that we're able to achieve these ambitious time lines. The second block will require some more work, so that will follow 1 or 2 quarters thereafter. Venkatesh Subramanian: Got it, sir. Got it, sir. So what's the capex... Roopwant Singh: Again, wish us luck on these aggressive time lines... Venkatesh Subramanian: Sorry, sir, I didn't get you... Roopwant Singh: Again, wish us luck on these aggressive time lines. Venkatesh Subramanian: Sir, our prayers are with you. Absolutely. What kind of capex are we planning for this year, sir? FY '25 and FY '26? Roopwant Singh: Capex plans are very ambitious. In excess of INR3,000 crores current year and for the coming 2 years also.

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Moderator: Next question is from the line of Shashank Jani who is an individual investor. Please go ahead. Shashank Jani: As we know that we are undertaking diversification under Project Shikhar and our major revenue comes from lignite. So what is the target that we are setting that the revenue will come from non-lignite sources? Roopwant Singh: Okay. I'll take all the questions first, and then I'll answer. Any other -- Shashank, any other questions you have, I'll take... Shashank Jani: No, sir. This is the only question that I have. Roopwant Singh: Okay. Okay. So this is a very big question. Project Shikhar is ambitious but very doable and very tangible. By the end of this decade, you should see our revenues being quadrupled. Of these revenues, a major share would come from, again, our existing business, lignite and coal, which you know very well. And the remaining would come from these new age critical minerals. In terms of realizations, they should more than triple by the end of this decade and their share of each of these 3 buckets, lignite, coal and critical minerals should be equal. So those are the ambitious plans laid out very simplified. Moderator: Next question is from the line of Shreyansh Jethwani from SG Securities. Please go ahead. Shreyansh Jethwani: I had a couple of questions. So the first one is when you bid on these coal blocks. So what kind of financial return metrics are we looking at? And is there any target that we have in terms of like minimum return on capital as such or any other metric that you look at while bidding? Just trying to understand on that front. And so my second question is since -- like I just wanted actually clarification, you

said 3,000 crores, would that be every year for the next 3 years? Or is it spread across 3 years? And from what the balance sheet -- is we would have to take on certain amount of debt or raise equity. So how are you looking to raise that? Do you have like certain financing options that you already are looking at? So just those 2 questions. Roopwant Singh: Okay. For the coal blocks, of course, we would like to capture as much value as we can. But under the board mandate, we will target a return of 15% and IRR, internal rate of return, of 15%. And in any contingency, we will never go below 12%. So that is the business model that we are working on. This capex for INR3,000 crores is over the next -- is INR3,000 crores -- INR3,030 crores this year. Next year, it would go to INR3,424 crores thereafter, again, INR3,000 crores and thereafter, again, INR3,000 crores. So till 2030, you should see a significant capex infusion. While we are doing this, there would be internal accrual of the earnings that we will be doing from our existing projects and early activation of coal projects. But in no case does our debt equity ratio

rise above 1%. So these are solid plans backed by serious numbers. Moderator: Next question is from the line of Saloni Shah from Ajmera Associate. Please go ahead. Saloni Shah: My question is, what is the current power generation capacity of Akrimota Thermal Power Station and post the PPA amendment, what changes can be expected? Roopwant Singh: Okay. Any other questions?

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Saloni Shah: No. Roopwant Singh: Okay. So ATPS, the Akrimota Thermal Plant has a generation capacity of 250 megawatts as you are aware. At the moment, the plant is not working. But by December, the overhaul should be completed. And that is the time when the advantage from revised PPA norms would kick in. So that we are able to capture these -- the advantage of these revised PPA norms, we have gone in for a comprehensive operation and maintenance philosophy, which is to be outsourced. And we have onboarded industry leader, a tier one industry leader, to take up these O&M operations for us. Hopefully, we should be able to capture some value in the last quarter of this year. But in the next year, this bleeding asset should turn out to be an income-generating asset for the corporation. Moderator: We have our next follow-up question from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: 2 questions. Just going back to the capex, assuming that we will do a INR3,000 crores capex this year or rather not assuming, as per plan. We will -- if things go well, sir, we should probably make a net profit -- I mean, I'm assuming the number again, INR800 crores to INR1,000 crores on a positive side. Then how do we have some cash reserves, I suppose, sir. How do we make this capex, sir, somewhere, if it's a debt to equity, it's going to be one is to one, how will it work it out? Roopwant Singh: Like I said, we have aggressive capex plans spread over the next 6 years, including the current one. In all scenarios that we have worked out, our debt equity ratio does not exceed one which I just said. Venkatesh Subramanian: Okay. So we just have to presume that we will have to -- we'll have a scope to increase profitability to that level approximately, yes. Roopwant Singh: I would not say anything there. But we would make a decent generous sum -- amounts of money during this period also. Venkatesh Subramanian: Okay, sir. And what are the current cash results that we have, sir, as on 30th June? Roopwant Singh: They would be slightly short of INR2,000 crores, but the exact number doesn't come to my mind. Venkatesh Subramanian: Okay, sir. Quick one. This power capacity, we have this 250 megawatts and this is going to be overhauled in December. How -- what is it that we can expect out of this

, how does it come in handy for us over the next 2 years? What -- does it produce cash flows for us? Roopwant Singh: Venkatesh, this plant is afflicted by a cyclical problem. Low -- poor PPA, which discouraged investment and which led to poor performance. So this entire cycle has been broken by the active support of the government of Gujarat, where the PPA has been revised, a significant capex has been allowed. And the company has onboarded best-in-class contractors to undertake the capex. And finally, a tier one contractor to steer this project towards profitability. So that is the plan. And in next financial year, you should -- and you should see a significant turnaround in the entire

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metric of this plant. The entire logic of pursuing with this plant is this plant has a plant base and a PPA life of 1.5 decades left. So GMDC will continue to capture positive value out of this, which it has not been able to do in the past decade and a half. Venkatesh Subramanian: Correct. Okay. Sir, and then in the initial -- for the first question, you answered that for critical minerals and rare earths, GMDC has qualified as one of the top 2 or 3 agencies to carry out this work. What does this exactly mean, sir? How many of -- how many -- what is the number of people in the club. So for example, I think Coal India was talking about it, of course, GMDC is here, NMDC is there. Do we -- are we part of a club of, say, 5 or 6 agencies that have been selected by the government? And is there anything exclusive to us, say, any particular geographical areas, whether it is J&K or Rajasthan or something? Roopwant Singh: I'm sorry. I think there must have been some misunderstanding. This project is being pursued by GMDC on its own. And to kickstart this project, critical minerals that is rare earth, we are going to go alone. And while we are -- we keep our ears and eyes open to other opportunities, which could make this project more attractive. As for the other strategic mineral that is concerned to the copper assets that GMDC already owns, and the challenge is only in operationalizing it since it is an underground asset. So there is some complexity, hence the delay. Venkatesh Subramanian: Okay. We will get to know more about that in the next con call, sir, on the copper assets monetization? Roopwant Singh: Yes, hopefully, so. Yes, there should be a movement in the coming quarters. Venkatesh Subramanian: Okay. Sir, and GMDC, in the balance sheet, so I'm looking at a few cross holdings that we have in other Gujarat PSUs, since we have a need for funding over the next decade, and we have some ambitious plans. Would you look at divesting some of these assets across holdings. Roopwant Singh: We would be open to all ideas. Moderator: Next question is from the line of Rishikesh Oza from ROBO Capital. Please go ahead. Rishikesh Oza: So my question is with respect to the capex. The INR 3,000 crore capex that we are going to do this year is majorly towards lignite? Roopwant Singh: Yes, please. Rishikesh Oza: Okay. And... Roopwant Singh: Other questions, please? Rishikesh Oza: No, it was related to that only, that on FY '26 and '27 also, you are talking about INR3,000-plus crores of capex. So how that would be bifurcated into different projects? Roopwant Singh: So the lion's share of this capex would be consumed by new lignite projects while we would continue to serve the needs of our existing lignite projects and a significant amount would go towards operationalizing the Odisha coal blocks, and finally, into our critical minerals for it.

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Rishikesh Oza: How much capex are we going to do for the coal blocks? Roopwant Singh: In excess of INR1,700 crores spread over some time. Venkatesh Subramanian: Hello, Yusuf? Moderator: Yes.

Venkatesh Subramanian: Can I ask a question, sir? Moderator: Who is this, please? Venkatesh Subramanian: This is Venkatesh of Logictree. Moderator: Yes, Venkatesh. Venkatesh Subramanian: Yes. So one last question. So I think we're talking about the underground copper blocks and which we are trying to extract out of. Can you give us some sense of what kind of deposits or volumes do we have, sir, in terms of copper? Roopwant Singh: Okay. So this would classify as a multi

metal-based deposit, which has copper, lead, zinc. The principal value driver is copper. That would be in the range of 1.5% to 1.75%. But the total metal content, that is the sum of all these 3, is in excess of 10%, which makes it one of the best assets in the world. And the mine has an estimated mine life of anywhere between 15 to 22 years. So that is the asset for you.

Venkatesh Subramanian: Okay. And extractable volumes, sir, approximately? Roopwant Singh: Extractable volumes.

Actually, as we extract more, we would need to explore more, there is an optimistic hypothesis that these reserves would rise significantly as we operationalize the mine. Venkatesh Subramanian: Okay, sir. Okay. I think I'll take this separately with you.

So can I reach out to you over an email, sir, for a more in-depth... Roopwant Singh: So in terms of margin, this project has a very comfortable margin of -- in excess of 40%, 41%. So returns are very good here. The challenge is in operationalizing this underground mine. Venkatesh Subramanian: Do you have any time line on this, sir, internally that you want to operationalize, say, some particular year or date or so? Roopwant Singh: We would be in a -- some studies are going on, we would be able to say this with more certainty by the end of this financial year.

Moderator: Next question is from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: So my question is that GMDC would approve INR3,041 crores capex plan for FY '25. Can you throw some light on the capex utilization so far?

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Roopwant Singh: Capex utilization for the current financial year? Kirti: Yes, sir. For FY '25. Roopwant Singh: Okay. Ma'am, this is -- most of this capex is towards land acquisition. So when it will happen, it will happen in very short bullets. At the moment, the only traction that we have on capex is for our existing Bhavnagar asset. It is going to be a great value and volume driver for us in the current financial year. And hopefully, for the next years while we undertake these ambitious plans.

Kirti: Okay. And also considering the new coal mines awarded in Odisha, our efforts of increasing the thermal power generation, will there be any further capex requirement in the near term? Roopwant Singh: I didn't follow that question, Kirti, for Odisha? Kirti: Yes, yes. So considering new coal mines awarded in Odisha, in the efforts of increasing the thermal power generation to which -- wanted to know in the earlier future, is there any capex required for that in the near term? Roopwant Singh: As it has already come out in our disclosures, we have signed a memorandum of understanding with our peer company, which is the state power company, GUVNL. Jointly, we will develop -- we have resources enough to develop 4,400 megawatts of thermal power. So that will be developed in partnership with GUVNL where we would be taking care of operationalizing the coal blocks, and they will be taking care of putting the thermal assets. So these are significant plans. And for activating these blocks, like I said, we would be spending initially a capex of INR1,700 crores.

Moderator: Next question is from the line of Shashank Jani, an individual investor. Please go ahead. Shashank Jani: I actually wanted to ask our finance minister in the budget talked about critical minerals, the government is planning to have a critical mineral mining outside India and all the

other things inside India. So apart from the block that we currently have, do we see our company has been a beneficiary of the same? Roopwant Singh: Okay, Shashank, this will have -- although this will definitely have a positive sentiment on the moves that we are making on the critical mineral side. And our journey is very well chartered and very well thought out of plans have been made. The point is these strategies take some time to unfold and that is underway. Moderator: Next question is from the line of Varun from Fernandes corporation limited. Please go ahead. Varun: Sir, I wanted to ask you if you can kindly enlighten about your diversification strategy. As we understand, currently, the focus for GMDC is lignite. So can you throw some light on the critical minerals like copper, lead and bauxite. Currently, how much are our existing capacities, the current contribution to revenue? And what are the projections in production and revenue for FY '25 and FY '26?

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Roopwant Singh: Okay. Very heavy question, I'll just answer it very briefly. So while we are growing, we would need to diversify. So GMDC is going to keep on focusing on its core which is lignite and which contributes in excess of 90% of our revenues currently. So for the coming 2 to 3 years, you should see something like that continuing to happen. While GMDC knows lignite very well, so that gives us a lot of confidence to operationalize these coal blocks. To contextualize these coal blocks, how big they are, you know our volumes. We are currently chasing 9 million tons of lignite in Gujarat. The cumulative capacity of all 3 coal blocks in Orissa is 26 million tons per annum. So that is the point of quantum lease that we would be taken. And all of the coal will go towards securing energy security of Gujarat. Revenues and profitability, they -- for the coming 2 years, they would stay in the range -- they would be -- they will be very good, but they would be at a reasonable range. Thereafter, as this capex starts kicking in, you should see a gradual spurt. And by 2030, I have already shared, we have 4x revenue growth plans.

Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: I'm almost done with all the questions. Just a request, sir, on the website. If you can upload the latest investor presentation, that will be very useful for us, sir, for internal records. Roopwant Singh: Thank you for the advice. Moderator: We have our next follow-up question from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: Yes. Sir, you mentioned about Mission 18.0 and Mission 2000. Can you elaborate how GMDC intends to achieve this ambitious growth? Roopwant Singh: You're talking about Mission 18.0 and Mission 2000, current year? Kirti: Yes, sir. Yes, sir. Roopwant Singh: So Mission 18.0 is the target that we are chasing for Q2, the monsoon months. You should see good results there. And Mission 2000 is something that we see to complete over the year. Now that is more in terms of engagement. Our customer pool is much larger, but we want to have an even larger pool of active customers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. With that, we conclude today's conference call. On behalf of Gujarat Minerals Development Corporation, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Roopwant Singh: Thank you, Yusuf.

Call: May 2025

Gujarat Mineral Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206
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No. GMDC/CS/ BSE/NSE/878/ 2025 Dt. 29th May, 2025 To, National Stock Exchange of India, Exchange Plaza, C-1, Block G, Bandra Kurla Complex Bandra (East) , Mumbai – 400 051 Code : GMDCLTD To, Bombay Stock Exchange Ltd. 25th Floor, P.J. Towers Dalal Street Fort, Mumbai-400 001 Code : 532181 Subject: Submission of transcript of audio recording of Investor Call under Regulation 30 of SEBI (LODR) Regulations, 2015 Ref : Our earlier letter No. GMDC/CS/ BSE/NSE/877/ 2025 dtd. 23rd May, 2025 Dear Sir/Madam, Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of audio recording of the investor call/earnings call conducted by Gujarat Mineral Development Corporation Limited (GMDC) on 23rd May, 2025, post the announcement of audited annual financial results (both standalone and consolidated) for the quarter/year ended on 31st March, 2025. The same has also been made available on the Company's website at: www.gmdcltd.com You are requested to take the same on record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited, Joel Evans Company Secretary
Encl: As above

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MANAGEMENT: SHRI ROOPWANT SINGH, IAS - MANAGING DIRECTOR SMT. A. K. IYER - CHIEF FINANCIAL OFFICER
SHRI A. K. MAKADIA - SR. GENERAL MANAGER SHRI B. K. MAHATO - GENERAL MANAGER SHRI RAJAT KUMAR
DASH - GENERAL MANAGER SHRI SWAGAT RAY - GENERAL MANAGER SHRI A. K. SHARMA - GENERAL MANAGER

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Moderator: Ladies and gentlemen, good evening and welcome to Gujarat Mineral Development Corporation Limited Q4 & FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Omkar. Thank you and over to you, sir. Omkar Jalgaonkar: Thank you, Renju. Good evening and thank you all for joining us on the Gujarat Mineral Development Corporation Limited Q4 FY'25 Earnings Conference Call. Today, we have with us the Senior Management represented by Shri Roopwant Singh IAS – Managing Director; Smt. A. K. Iyer – CFO; Shri A. K. Makadia – Sr. General Manager; Shri B. K. Mahato – General Manager; Shri Rajat Kumar Dash – General Manager; Shri Swagat Ray – General Manager; Shri A. K. Sharma – General Manager. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward looking in nature. As you are already aware that the Q4 FY'25 results are in the public domain. So we will now open the forum for the interactive Q&A session. Over to you, Renju. Moderator: Thank you. We will now begin the question-and-answer session. First question comes from the line of Dixit Doshi from the Whitestone Financial Advisors Private Limited. Please go ahead. Dixit Doshi: Yes, thanks for the opportunity. My first questions are related to our lignite operations. So initially our thought was doing around 10 million ton for this year. We ended up doing 8 million, so if you can broadly cover the reasons for the shortfall and what kind of volume growth we are targeting? So I think we are developing six more mines with 12 MTPA capacity. So when some of the production from those mine will start? So considering that what kind of volume we are targeting for FY'26 and FY'27? Roopwant Singh: We fell short of 10 million, it was an ambitious target, on account of two factors beyond our control. Our fifth and the smallest mine, Rajpardi had a safety incident and we had to close that mine subsequent to that incident, so we have lost some volume there. Second, our major ramp up was expected from our Bhavnagar project. We have divided the project into two packages, one package was operational and the second was supposed to get operational somewhere in the middle of last year. We could not proceed on it because of delay in land acquisition for one or two villages, one fully and second partially, that has been resolved now. This year we are looking at a growth of 10% to 15% in the existing lignite business from our four existing mines. As far as the six new lignite mines are concerned, a lot of progress has been made on the larger ones,

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which are going to deliver major volumes that is Lakhpat in Kutch, Walia in Bharuch, and Damlai in Bharuch. They are undergoing various stages of statutory clearances, but again, these are large and long gestation projects. We will see a lot of progress, some expenditure there, volumes next year onwards. Dixit Doshi: Okay. Volumes from new mines will not come in FY'26, may contribute from FY'27. Roopwant Singh: Yes, please. Dixit Doshi: Second question is regarding the coal mines. So you have mentioned in your press release also that we are moving ahead in Baitarani West block. So if you can broadly update on the coal mine because I assume we were expected to start some production from Q1 FY'26 onwards. So where are we and what kind of volume we can expect in FY'26 and FY'27 in coal? Roopwant Singh: There is considerable progress here. We have three blocks in Orissa. The largest

of these is Baitarani West, which will in future become the largest mine for GMDC with capacity of 15 million tons per annum, it will be amongst the top 12 to 13 mines in the country. This mine, we should see groundbreaking this year. At this moment, we have already initiated, made payments for government land and payments for private lands are underway on the project site, so we should see groundbreaking and hopefully volume grows. Dixit Doshi: Okay, so do you expect some volume in FY'26 or here also the volumes will come in FY'27 only? Roopwant Singh: We are slightly optimistic because the stripping ratio there is a near 1.5 units whereas for the Gujarat mines the stripping ratio is higher hence even after groundbreaking the production takes slightly longer. Dixit Doshi: Okay. So let's say if not FY'26, FY'27 what kind of volume this mine can do, I mean, to start with in the first year of operation? Roopwant Singh: The plan is approximately around a million tons this year,

and then it will be ramped up fairly quickly to 3 million and then to 5 million tons very quickly, but it all depends on ground breaking. Dixit Doshi: Okay, so you are saying once, let's say even if we see some delay in ground breaking, the first year after the ground breaking we can do 1 million and then 3 million and 5 million. Roopwant Singh: It can be faster also, the ramp up will be very quick because stripping ratio and so many other things are conducive there.

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Dixit Doshi: In terms of pricing in this coal mine, so how the pricing will work, will it be an international price link or just like the Coal India sell to the industries at FSA price. At what price we will be able to sell? Roopwant Singh: Well, exact price, Dixit, I can't. (Inaudible) Dixit Doshi: Yes, I understand. I am not asking the exact price, but it will be like a link to more of a market price driven at an international level, or it will be like we are giving to some industries at a prefix prices where volatility will not be there and it will be at discount to the international price? Roopwant Singh: The right word to use is we will be mindful of international price and what is being sold by Coal India and the neighborhood. The notified price of Coal India is fairly low, we will not be selling at that price. We will have our own price point which we have an idea and we did a customer outreach and interest outreach amongst customers, so that EOI was very well received. We shall be taking a view on that expression of interest as we get close to groundbreaking. Dixit Doshi: Regarding any update on ATPS power plant, so by when it will start and our current run rate in the power division is Rs. 25 crore revenue with Rs. 11 crore loss. So how do you see next year? Roopwant Singh: ATPS, we are running behind schedule because of critical delays in certain spares which are supposed to come from abroad. Once we opened the plant, there were more surprises which ended up, where we ended up ordering more spares, so there is a delay. I would like to assure the investors that our plant runs on our lignite only and what we are not able to consume in the plant, if it is out of order, we are able to comfortably push in the market. Yes, it is one division which runs in the red, but hopefully after overhaul, we would look at a better future in this year. Dixit Doshi: Okay, fine. That is it from my side. I will join back in the queue. Moderator: Thank you. The next question comes to the line of Nalin Shah with NVS Brokerage. Please go ahead. Nalin Shah: Sir, I would like to congratulate for a steady, but I mean, the still improved growth for the Company and I would say that much better dividend payout ratio. I have some just similar questions on this thing, that multi-metal project and on the rare earth elements business which are supposed to be very substantially high value businesses for future years. So how do we see that

? Plus, I just wanted to have your word that last time we said that you know the company GMDC is prepared extremely robust growth plans and by 2030 we want to be as big as the Coal India Limited which is 20 times bigger but we want to aim that. So if you can throw some light on various this developments which are going to take place for the benefit of our investors.

Roopwant Singh: One humble submission, Coal India is 100 times the size of GMDC. We will grow and the aspiration is to be 7%-8%-10% of Coal India that again is very, very big. So one correction there.

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Hopefully if we ramp up our capacity, our capacity would be in the tune of one of the subsidiaries of Coal India. One more request, we have changed and updated the name of the multi-metal project at Ambaji to Copper Project Ambaji, kindly referring to add that which is the true value driver of the project. You should see a lot of activity in the coming two years there. A lot of statutory clearances, updations, and inquiry for plant and mine development will be seen in the coming quarters, you would see a lot of activity there. Nalin Shah: So, FY'26, will we see some contribution from there, sir? Roopwant Singh: This is a very complicated project because this is an underground mine. The underground mine is very close to a residential place and an ecologically sensitive place, so we will have to go totally underground. GMDC does not have past experience of underground mines. In fact, this is going to be the first underground mine in Western India, so there is going to be a lot of CAPEX spend and lot of technical work and the results you should see in 2 to 3 years from now. Nalin Shah: Okay. So I think maybe FY'27 or FY'28 only? Roopwant Singh: I think FY '28 would be a right figure because mine development itself would take a lot of time. Nalin Shah: Understood. Roopwant Singh: Just refer to my discussion where I compared the Odisha Coal Mines with Gujarat Lignite Mines. The stripping that will go there, we are able to break ground and start producing. The same, it takes some more time in Gujarat and when it comes to an underground metal project, it will still take more time. Nalin Shah: Understood, sir. Correct. Roopwant Singh: It would involve putting up a concentrator plant there also, a small plant has to be put up there. Nalin Shah: Correct. Okay sir, on rare earth thing can you throw some light? Roopwant Singh: We have shared detailed notification already, so steady work is continuing there. We have received an LOI. Work is going on for the next stages. Nalin Shah: Commercialization will still maybe about a couple of years hence? Roopwant Singh: Yes, it is a slightly complex project, but a few years only, not too long into the future. We shall keep you updated periodically on it. Nalin Shah: Sure, Sir. On Bauxite, we have done some 5x tons of Bauxite. But I understand that, I mean, there is a huge opportunity in Bauxite. And we read, that these Guinean mines are almost 60%-

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70% of the world Bauxite export. So I am sure that Bauxite there is a huge demand. So are we going to be able to scale it up to a significant level in this current year and onwards? Roopwant Singh: That is the plan which was there in the past year and that is the plan for the current year also. Nalin Shah: Okay. Roopwant Singh: We have two sets of mines, one in Saurashtra and one in Kutch. Earlier the only Saurashtra one used to do marginally good and the one in Kutch used to bleed us. Now all these mines are contributing revenues, and they would contribute significant amounts of revenue, Rs. 80 crore-Rs. 90 crore-Rs. 100 crore. But these are good numbers but then they pale in comparison to what Lignite generates. Nalin Shah: Correct. So, sir, overall, can we have some guidance about like last year we grew by almost about, I would say tha

t 17% to 20% in terms of topline and bottom-line was up by almost about 15%. Can we have some idea about the current year growth plans? Roopwant Singh: We have laid out the growth plans, so it all depends on the margin that we're able to sustain. I have already spoken of the plan to increase our volumes for lignite and other auxiliary minerals also and if coal comes into play the revenues will definitely go up. Margins will determine how much is left at the bottom of the table. Nalin

Shah: Correct. But some idea about this revenue growth and the PAT levels? Roopwant Singh: PAT levels, I won't comment but both of them should turn out pretty good. Nalin Shah: Yes. But revenue should be up by what about 20% or so we can take a guidance? Roopwant Singh: It all depends on Odisha majorly and Bhavnagar. Nalin Shah: Okay, I understood. Roopwant Singh: And we are very bullish on both. We are confident there. Nalin Shah: Yes. We are also, sir. Thank you very much, sir and once again congratulations for such a massive exercise to make GMDC in one of the top-grade companies. Thank you very much. Roopwant Singh: Thank you, Nalin. Moderator: Thank you. Next question comes from the line of Divyesh Shah with Uchit Capital. Please go ahead.

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Divyesh Shah: Sir, congratulations for a good result. Sir, my questions pertain to our project, Shikhar. In the last annual report, we had given a vision of FOREX in 5 years by 2030. And you have very clearly mentioned about the 3 categories. And if you sum up that 3 categories, it comes out to be Rs. 14,500 crore by 2030. And sir, with your opening remarks and the answers you gave to the previous speakers, it looks that we have some delay in this year, FY'26. So what is the status of FOREX by 2030? Is there any delay or we still stick to that ambitious target of FOREX in 2030. Or can you elaborate, if suppose FY'26, we are okay with 10% to 15% growth, let us say by FY'27, sir, what will be our target in way to project Shikhar? Please, sir. Roopwant Singh: It is so heartening to know that you go through our plans in such great detail and you look at the pillars also. It depends on the word that we use, is it a critical delay or is it a slight shift? Since we dealing with projects spread over hundreds of hectares of land and with human settlements involved, so a few quarters here or there are something which we may have to contend with, that we have to contend with, where we could not ramp up production last year as we had planned because Bhavnagar was late. Now this year we are confident. Odisha project is on track, but our Lignite projects are a few quarters delayed. While there may be a shift of a few quarters, we are quite confident of our journey. Which pillar moves ahead, and which slows down is something which we would know, say, in next 12 months to 18 months. The Company has not only has very diligent and detailed plans where the capital and revenue journey up till 2030 is planned, that entire model gets reworked every quarter. The management and the senior management is also given visibility on it. The board is updated by annually. With so much of visibility, what we hope and expect is a shift here and there, but the kind of concern that some people may have with getting derailed or getting pushed back by a number of years, that may look like an unlikely scenario at the moment. Divyesh Shah: So sir, you stick to the target of 2030 Rs. 14,500 crore or there is a reduction in the projection if you can frankly tell to the investors? Roopwant Singh: No, there is nothing to hide. It would be a few quarters here or there, but we hold on to our numbers. Divyesh Shah: Okay. Sir, today we are about Rs. 2,800 crore turnover. So when you expect, by FY'27 w will be a Rs. 5,000 crore revenue Company sir, please, if not FY'26-FY'27? Because in next 4 years if we want to achieve not Rs. 14,500 crore, suppose Rs. 12,000 crore, then by

FY'27 my math says that it should be Rs. 5,000 crore, if you go reverse way. Roopwant Singh: I would have faith in your calculation. Divyesh Shah: Okay. What will be the revenue from I think the biggest contributor to this project Shikhar will be new coal mines. So in the first two years, leave aside the one year of opening of breaking

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mines. In first two years of operation, what will be the expected revenue from coal mine? Two years, first two years? Roopwant Singh: I would compare my new Lignite projects with the Odisha coal project. The ramp up will be much, much faster there compared to Lignite projects. Our journey till 2030, we plan to reach our peak capacity there. Thereafter, the projection for revenues is very, very promising and the peak capacities that we have can also be expanded. If out of these 3 mines, even if two are on track and are able to expand, we should see very good and comfortable numbers. Divyesh Shah: For copper mine after the delay in the first year, what will be the production for copper mine revenue dumps in first full year of operation, as and when it happens? Roopwant Singh: Copper is again, almost 1.5 to 2 years will go in just thinking shafts and building an underground mine. Parallel activity would be putting a plant in place so the revenues should be accruing towards the end of the projection that they had given for 2030. It is in essence a lot of hard work and expenditure till then. We have a very clear idea on how much we are spending there. We have shared it also with you that is a lot of systematic hard work. Divyesh Shah: Sir, my last question regarding CAPEX. CAPEX for next four years, how you will finance the CAPEX? Roopwant Singh: We are fairly comfortable there. We have decent reserves in the range of Rs. 2,000 crore and we see them going up only. We have had conversations with state lending authorities and we have a line of credit from them, so we are fairly comfortable there. Divyesh Shah: Every year how much CAPEX do you expect for beginning of all new mines for next two years at least? Roopwant Singh: This journey till 2030, we have planned for a CAPEX in the range of Rs. 13,000 crore, out of which generally it should be a steady number between Rs. 1,500 crore to Rs. 2,000 crore, but it may get peaked for two years in this journey. At the moment it falls somewhere in between, but like I said, it could go back or be pushed early also. It is a steady and mature CAPEX. Divyesh Shah: Okay, sir. Thank you. Roopwant Singh: Thank you. Moderator: Thank you. Next question comes from the line of Aman with Augmenta Asset Manager LLP. Please go ahead. Aman: Congratulations on a great set of numbers and thanks for the opportunity. So sir, I just want to understand, let's take an example, currently we did some volumes of 8 million tons in the lignite

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part of the business. So can you just guide some light on the production that can be picked from both the new mines and the old mines together? Can we expect the current run rate of 8 million ton to 9 million ton from the same over the next maybe one year or what are we aiming for here? And secondly, the pricing side of the thing, currently this quarter, according to calculations, the pricing was somewhere around Rs. 3,400 per ton. And on that we are making some EBITDA of around Rs. 800 to Rs. 890 per ton. So this is the steady state of margins of the prices that you are incorporating for the future, maybe from the baseline reversal? Roopwant Singh: I will try and explain the lignite journey that GMDC has planned for itself. Till last year, we had five existing lignite mines. Now, we have four only, one has closed down. By the turn of this decade, we would have only one which is growing and probably 1 or 2 which are petering out, so production from these mines would be nearing

exhaustion and

d that is the time these five years when production from our new mines would be kicking in. In a decade from now, we plan to see, we expect to see lignite production in the range of 15 million tons by GMDC from Gujarat-based lignite, so this is the journey that is planned out for lignite. Pricing, last to last year, the margins were better, last year were good, at the moment, they're holding well despite all the global turbulence. This is a dynamic thing which we are very mindful of. All our customers and all our investors eagerly await our monthly update on price. We take a call on it, taking a multi-faceted review of factors that affect our price. And in the end, we will not do anything which is unviable for us, but we would like to continue to hold on to our volumes and customers. That is what we are committed to. Aman: The steady state render of anywhere between 8 million ton-9 million ton will be the run rate going forward as well over the next two years? Roopwant Singh: No, this will get much better. As Walia, Lakhpur and Damlai come into play, because they have long gestation, as you see production from them, then you should see this changing very fast. Aman: The number which we are stating, our growth of 10%-15% in improving lignite business, so this we are expecting from the new mines addition or from the existing one? Roopwant Singh: Only from our existing mines. Aman: Okay, the new mines will start contributing? Roopwant Singh: The new mines have a longer lead time because the stripping ratio in Gujarat is higher and the same is much lower in Odisha, so that is why we speak of groundbreaking and realization in the same year. There is a fundamental difference in the kind of resource and effort that is required. Aman: Okay. Can you just throw some light on the lignite demand? Currently, somewhere in the previous years, correct me if I am wrong, you mentioned that we control maybe 5% of the lignite market in India. We have a 5% market share of whatever this number is, don't remember. But

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what is the demand dynamic looking like? Is there enough demand for this much lignite in the country or the adjacent areas? Roopwant Singh: Our market surveys and analysis say there is demand for this fuel, and this fuel gets sold along with and as a competition to domestic and imported coal, so this continues to stay relevant. As we ramp up our production, we are going to initiate efforts towards beyond Gujarat sales also. That is an initiative that you should be unfolding in this current year. We are preparing for a ramp up capacity for our new mines next year onwards. Aman: Understood. And also sir, we have been seeing that we have been filling out tenders for the overburden removal for the Odisha mines and some strategic associations from some consultants from the topic that was beyond the Odisha mines and the new warehouses. So what are we looking for exactly? Can we expect the ground breaking this year from the Odisha mines? Roopwant Singh: Yes, that is what we said. This year, not only do we expect ground breaking, if it happens, we expect revenues and sales from our Baitarani West mines, which is going to be one of the largest coal mines in the country. Aman: Okay. Thank you so much. Moderator: Thank you. Next question comes on the line of Dixit Doshi from Whitestone Financial Advisor Private Limiter. Please go ahead. Dixit Doshi: Yes, thanks for the opportunity again. You did mention that, just one clarification. You mentioned that the coal mine this Baitarani west has a peak capacity of 15 million ton. So let's say once we start we can ramp up very fast. So by FY'30 we can reach that peak production, right? Roopwant Singh: Yes, please. We can take it beyond that also. That is permitted in the statutory framework. Once we reach that, then we take a call on taking it further also. Dixit Doshi: Okay and regarding the Burapahar mine, so by when that

will be commercialized? Roopwant Singh: We have staggered the investment between these 2 mines, and we have at the moment chosen to fast-pedal Baitarani West, the larger mine with less stripping ratio. Whereas for Burapahar, we have staggered it by a year, and in the meantime, we are exploring, please see our website. We are looking for partners for underground coal gasification. That is the journey towards blue hydrogen, which is less carbon intensive. The EOI has been received well it is currently live. We have interest from large corporate players and technology players both. Dixit Doshi: Coal production from Burapahar will be slightly back-ended. Our initial focus is on the Baitarani mine. Okay. And regarding this lignite production, just one clarification again is that from the

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old mine we will be doing let's say 10%-15% growth for the next 2 years. And the new 6 mines from there a 2-3 mines will start contributing something from FY'27 onwards? Roopwant Singh: These 6 mines are not similar, they vary in size and complexity very much. The ones which are going to be amongst the flag bearers are Lakhpur, Walia and Damlai, that is where we see most volumes. While the other ones are also there, they also bring volumes but they are not so big, they are also being prioritized but our eye is on the bigger pie. Dixit Doshi: Okay. And these three, can they contribute in FY'27 say 2-3 million tons or it will be lower in the initial year? Roopwant Singh: Probably yes. Depending on the status of clearances. Dixit Doshi: Okay. And any update on the limestone mines? By when that will also start contributing? Roopwant Singh: Limestone mine is the Lakhpur mine, so first you have soil, then you have limestone and then you have lignite. The plan is to extract limestone systematically so that it can be used by our partners. We already have three partners which we got through a national competitive bidding process and then we reach Lignite. The journey of reaching Lignite for the Lakhpur mine is almost a year long journey, from when you begin to when you reach lignite because there is mineral in between and we don't want to spoil it. We will be taking it out systematically through surface miners, stacking it or giving it to our partners. Dixit Doshi: So let's see in CAPEX side, we are targeting around say Rs. 2,000 crore-Rs. 2,500 crore broadly per year CAPEX. And now we do have Rs. 2,000 crore of reserves and also we are generating Rs. 500 crore-Rs. 600 crore profit every year. So let's say Rs. 300 crore because 50% we pay out as dividend. So let's say over the next 2-3 years, what kind of debt level we are expecting? Roopwant Singh: Current year and next year, we don't expect to take any debt. Probably towards the end of next Financial Year, we'll start taking on debt. Dixit Doshi: FY'27 end we will start taking debt. Roopwant Singh: That is the scenario or modeling for the moment says. Dixit Doshi: Okay, and CAPEX will be there Rs. 2,000 crore- Rs. 2,500 crore every year? Roopwant Singh: The total journey is Rs. 13,000 crore plus, it has to be done by 2030. It would tend to get concentrated in 2 years, but you should see a steady rate of at least Rs. 2,000 crore. 50% of our CAPEX is land, now it flows out very quickly, once everything is in place, but till it doesn't flow out, it doesn't flow. If you were doing, if you were putting up

company, we could stagger it out and plan it very gently. When things get cleared, it goes very quickly. Dixit Doshi: Okay, understood. And one last question on the coal site. So I think these mines we have acquired through e-auction. So what kind of sharing will we have to do in terms of say royalty and other charges? And you can say what kind of EBITDA margin we can do in coal business. A broad range is fine.

I know it depends on the market price at that point of time, but a broad rough working will be fine? Roopwant Singh: Pricing, I am not at liberty to comment. We have a price point and we have interested players. The share that we give to the government is in the range of 30% for one mine and 40% for the other one. As per our modeling, this works out. Dixit Doshi: Okay, fine. That's it from my side. Thank you. Moderator: Thank you. Next question comes from the line of Shreyans Gathani from SG Securities. Please go ahead. Shreyans Gathani: Hi, good evening. So my question is on the coal mines. So just trying to understand what the calorific value differential would be and what the pricing differential would be versus lignite at this point. I know you answered like we don't have like a price point that we want to disclose at this point, but just trying to understand, for like each million ton of lignite versus coal, what kind of revenue differential we should be expect? Roopwant Singh: This is slightly, although it is broadly the same product, but regimes and geography is totally different, so it is like comparing apples and oranges. Our mines are for thermal coal. They are G11, G12, which is a fairly good grade of 4,000 calories plus, and our lignite mines are in the range of 3,500 GCV which has a different index for it. The geography is different, indices are different, price points are different and neighborhood is different, so a comparison won't be fair. In Odisha, since the volumes are high and it is a crowded market, there we will be chasing volumes. Shreyans Gathani: Okay, So price should be, like realization should be in ballpark. They shouldn't be very significantly different than what we currently have for lignite? Roopwant Singh: We should look at slightly lesser margins there, but more volumes. These are huge mines, Baitarani West is 15 million tons per annum by the end of this decade and can potentially go up to 22.5 million tons. All this 8-10 million lignite may look peanuts in front of it at some point of time.

Shreyans Gathani: Got it. Understood, sir. So the next question on the Lignite pricing. So are we still pricing at a discount to like Indonesian coal or where do we stand in terms of the discount? We narrowed the gap quite significantly in the last 2-3 years, but at what point are we at currently? Roopwant Singh: We are at a discount. The discount varies from end location to end location, but we are again at a discount. If we eliminate that discount, we don't sell. Our customers are smaller MSME players, they are slightly emotional, and we are vocal to their needs. Shreyans Gathani: Got it. I understood that. Just wanted to know like what is the magnitude of discount that you have now versus like initially it was like, I believe like, 60%-70% discount in FY'21 or FY'22 if I remember, we narrowed the gap. Roopwant Singh: So 10% to 15% easily. Shreyans Gathani: Okay. The next question is on the power plant. So if you could give what is the new PPA that's signed? What is the rate at which the new PPA signed versus what the older one was? And when would that be into effect like the new PPA? Roopwant Singh: The new PPA would get into effect the moment the plant starts working. The main difference between the previous and the new PPA is that earlier PPA did not incentivize GMDC to spend money to maintain and upgrade its plant that is the main difference. Shreyans Gathani: Okay. So in terms of the pricing, we still at the same price point? Roopwant Singh: No, our power will be approximately 30 paisa more expensive, but the electricity regulator has agreed to it. Shreyans Gathani: Okay. Understood. So when you mentioned that it's on the maintenance side, is that like, we are going to be able to get those, get the maintenance from the regulators or whoever we select, like that is a part of the agreement versus initially we had to like

put it out of our own pocket? Roopwant Singh: Let me answer it in this way, Thermal business is a business of fixed returns where the returns are guaranteed based on your investment, but here the PPA was slightly harsher and because of that harsh PPA the plant could not invest in itself and it gradually degraded to a point of crisis. In that crisis we've had to make a special CAPEX. Now that CAPEX has been allowed to be pass through and that has been part of the PPA. Hence, the price will rise. Shreyans Gathani: Okay. Roopwant Singh: As an investor, if you are invested in us, I would like to reassure you that these Rs. 300 crore to Rs. 400 crore that we have spent are, we are going to get it back as a pass through from the purchaser and the regulator.

Shreyans Gathani: Okay. That is helpful. So is there a timeframe that we'll get it by or is it like going to be adjusted in the price of electricity or something like that? Roopwant Singh: It will get adjusted in the price of electricity, but that is not our call that is the purchaser's call at which we further sells it, but as a Company, we will get a pass through for this expense. We will have to approach the regulator and hope for a fair hearing by them where they allow most of the expense that has been made. Shreyans Gathani: Got it. Thank you. So just the last question, what would be the ROE should be like coming back to like, know, like NTPC and those like we see like 12% or so. So we should be coming back to those levels in terms of just numbers for the power plant. Roopwant Singh: ROE for these plants are fixed, but as a sustained business, you have to match 3 or 4 critical parameters of the regulator and the buyer, which are PLF, auxiliary heat rate. Those are rates which were awry because the plant had deteriorated with the refurbished plant, we plan to start making some money from this plant. Shreyans Gathani: Understood. So at an optimum PLF, what kind of captive consumption of lignite do we expect per year? Roopwant Singh: Around a million. Shreyans Gathani: Okay. Got it. That's it for my end. Thank you so much. Moderator: Thank you. The next question comes on the line of Abhijit Mitra with Aionios Alpha Investment Management. Please go ahead. Abhijit Mitra: Thanks for taking my question. Just conceptually to understand, we are guiding for 15 million tons by the end of this decade as far as Lignite is concerned. So how would that break up between existing mines and new mines? Roopwant Singh: 15 million tons by 2035. Abhijit Mitra: Okay. Roopwant Singh: Because these are large mines with large stripping ratios, they will

take time to ramp up. Abhijit Mitra: Okay. Roopwant Singh: Yes.
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Abhijit Mitra: And this would be entirely from new mines as the existing mines is sort of run out of production, is it? Roopwant Singh: So they would still continue to contribute 30%, but 70% would come from the newer mines. Abhijit Mitra: Okay. And what would be the gradient of rundown of volumes for the existing mines? As in over the next 2-3 years will the volume start coming off from the existing mines? Roopwant Singh: No, not till 2030. Abhijit Mitra: Understood. Roopwant Singh: There may be a minor correction here or there but not really. Abhijit Mitra: Okay, got it. And just sort of understand the profile of the CAPEX, because we were planning for Rs. 3,000 crore in FY'25, but we could end up doing only Rs. 644 crore. So this, the remaining, and we were sort of planning, I think Rs. 3,000 crore each year for FY'25, FY'26 and FY'27, as far as I can make out from the previous transcripts. So to make up for this slipped CAPEX of Rs. 2,500 crore, are we sort of intensifying or looking to intensify the CAPEX profile for FY'26 and FY'27? I mean, is the CAPEX number can be as high as say Rs. 4,500 crore each year or that

we are still sort of going with say around Rs.1,500 crore-Rs. 2,000 crore-Rs. 2,500 crore that range? Roopwant Singh: Let me explain it conceptually first and then we'll take a view on what it looks like. So 46% of this CAPEX of this Rs. 13,000 crore will go in land, 15% would go in R&R, 30% would go towards plant and machinery. Plant and machinery are something which we should see happening in 1.5 years to 2 years from now, that will be a steady outflow of CAPEX because you know the progression of civil or technical construction. Land and R&R, these are two elements which continue to surprise us and for the last year, we have been seeing these being pushed back by a few quarters because some clearance or some issue keeps on cropping up. This is something, like I said in my previous reply, if it gets resolved, it goes very, very quickly. The current disbursement which is going on at Baitarani West, when it goes, it goes very quickly. This is my view on it, but you should see it at the moment going back by a few quarters in the current year and probably the next year, but if it gets resolved, you may see it coming back by a few quarters front-ended also. That is the challenge that we see in our journey till 2030, 1 or 2 years of very heavy CAPEX where we may have to take on slightly more debt than we had planned. Abhijit Mitra: Got it, understood. That's very clear. And what would be the distribution of this CAPEX between say lignite, coal, copper as well as the rare earth? What would be the broad distribution of this CAPEX?

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Roopwant Singh: Approximately Rs. 3,000 crore to Rs. 4,000 crore for critical mineral projects, two of them. Rs. 4,000 crore for our coal projects, Rs. 3,000 crore for our lignite projects and we would still need to spend in excess of Rs. 1,000 crore for existing lignite projects also because here also land has to be acquired and it has to be sold. Abhijit Mitra: Got it. Understood. Great, thanks and wish you all the best. Roopwant Singh: Thank you, Abhijit. Moderator: Thank you. Next question comes from the line of Anurag Chheda with Jay Ram Stock Brokers. Please go ahead. Anurag Chheda: Thank you so much, for the presentation. I wanted to ask, is GMDC going to work with rare earth elements like for extraction and separation of rare earth elements? And if you are going to then which all metals are you going to work for like for extraction? Roopwant Singh: We have made our intention that we will be entering the critical mineral space, one is rare earths and the second is copper. A lot of hard work is underway. The value drivers will be rare earths which go towards making permanent magnets. Anurag Chheda: Any specific like in rare earth? Roopwant Singh: I am at liberty to say what I have already said only. Anurag Chheda: Alright, thank you so much. Roopwant Singh: Thank you. Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question-and-answer session. I would now like to hand the conference over to the Management for closing comments. Roopwant Singh: I would like to thank all people who have shown interest in conversing with us over this conference. Thank you so much. It was a good session. Thank you again. Moderator: Thank you. On behalf of Gujarat Mineral Development Corporation Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.